ธนาคารแห่งประเทศไทย
BANK OF THAILAND



Monetary Policy Report

September

2020

Monetary Policy Report

The *Monetary Policy Report* is prepared quarterly by staff of the Bank of Thailand with the approval of the Monetary Policy Committee (MPC). It serves two purposes: (1) to communicate to the public the MPC's consideration and rationales for the conduct of monetary policy, and (2) to present the latest set of economic and inflation forecasts, based on which the monetary policy decisions were made.

The Monetary Policy Committee
September 2020

Mr. Veerathai Santiprabhob	Chairman
Mr. Mathee Supapongse	Vice Chairman
Mr. Paiboon Kittisrikangwan	Member
Mr. Sethaput Suthiwart-Narueput	Member
Mr. Kanit Sangsubhan	Member
Mr. Subhak Siwaraksa	Member
Mr. Somchai Jitsuchon	Member

Monetary Policy in Thailand

Monetary Policy Committee

Under the Bank of Thailand Act, the Monetary Policy Committee (MPC) comprises the governor and two deputy governors, as well as four distinguished external members representing various sectors of the economy, with the aim of ensuring that monetary policy decisions are effective and transparent.

Monetary Policy Objective

The MPC implements monetary policy under the flexible inflation targeting regime. While regarding medium–term price stability as its primary objective, the MPC also aims at supporting sustainable, full-potential economic growth and preserving financial stability, attributing to long-term price stability and economic sustainability

Monetary Policy Target

On December 24, 2019, the Cabinet approved the monetary policy target for 2020, which was mutually agreed between the MPC and the Minister of Finance to set the headline inflation within the range of 1–3 percent as the target for the medium-term horizon and for 2020.

In the event that average headline inflation in the past 12 months or a forecast of average headline inflation over 12 months ahead breaches the target range, the MPC shall send an open letter to the Minister of Finance to explain reasons for the breach of the target range, together with measures taken and estimated time to bring inflation back to the target. In addition, the MPC will write an additional open letter to the Minister of Finance every six months if average headline inflation based on the above criteria remains outside the target range.

Monetary Policy Instrument

The MPC utilizes the 1-day bilateral repurchase transaction rate as the policy interest rate to signal the monetary policy stance.

Evaluation of Economic Conditions and Forecasts

The Bank of Thailand takes into account information from all sources, the macroeconomic model, data from each economic sector, as well as surveys of large enterprises, together with small and medium-sized enterprises from all over the country, and various financial institutions to ensure that economic evaluations and forecasts are accurate and cover all aspects, both at the macro and micro levels.

Monetary Policy Communication

Recognizing the importance of monetary policy communication to the public, the MPC employs various channels of communication, both in Thai and English, such as (1) organizing a press statement at 14:00 on the day of the Committee meeting, (2) publishing edited minutes of the MPC meeting two weeks after the meeting, and (3) publishing the *Monetary Policy Report* every quarter

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Dashboard of indicators for financial stability

Probability distribution of growth and inflation forecast

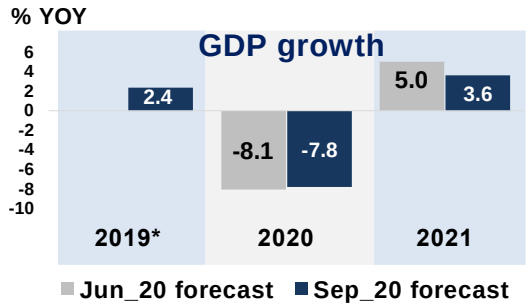
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Note: Data in this report is as of September 22, 2020 (one day before the Monetary Policy Committee meeting)

Key Highlights of the Monetary Policy Report, September 2020

The economic recovery would be greatly uneven.
To facilitate appropriate transition into the post-COVID environment, government should implement measures in a targeted, and timely manner. At the same time, measures should also be coherent and consistent among government agencies

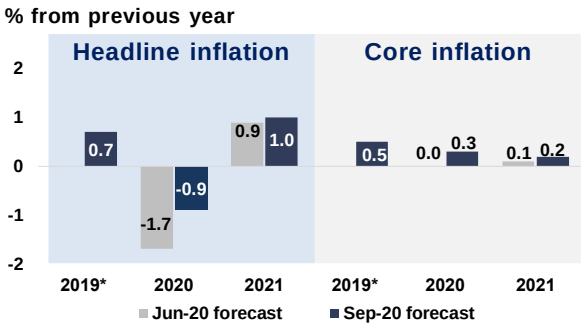
Economic growth projection



Note: *Outturn
Source: NESDB, estimated by Bank of Thailand

- **In 2020, the Thai economy would contract substantially owing to COVID-19.**
- **In 2021, the Thai economy was projected to expand at a slow pace as the re-opening of the country would only allow a limited number of foreign tourists.**

Inflation Projection

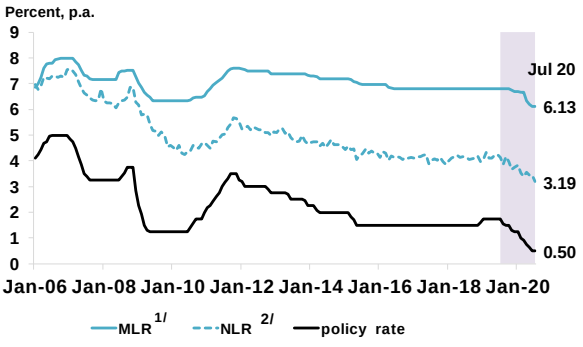


Note: *Outturn
Source: Ministry of Commerce, estimated by Bank of Thailand

- **In 2020, inflation would be less negative mainly owing to higher energy price.**
- **In 2021, headline inflation would turn positive and being close to the lower bound of the target range.**

Financial conditions

Lending rates of commercial banks



Source: **Bank of Thailand** (as of July 2020)
Note: 1/ Averages of14 commercial banks' reference loan rates
2/ New Loan Rate (NLR)

Overall financial conditions remained accommodative.

- **Government bond yield and reference loan rates of five largest commercial banks remained low.**
- **New loan rates (NLR) gradually declined.**

Financial stability

- **Stability of fiscal, financial institutions, and external sectors, remained robust**

Financial system stability was still subject to high risk from this year's large contraction of the economic outlook

- **Financial positions of households and businesses were fragile with risk of defaults**
- **Proactive debt restructuring would help mitigate the risk**

The recovery would be greatly uneven among economic sectors, regions, and firms in different segments.

Executive Summary

Monetary Policy Conduct in the Third Quarter of 2020

At the meetings on August 5 and September 23, 2020, the Committee voted unanimously to maintain the policy rate at 0.50 percent. The Thai economy was expected to gradually recover in line with the relaxation of COVID-19 containment measures in Thailand and abroad. However, the Thai economic recovery would take at least two years before returning to the pre-pandemic level and would be highly uncertain. Nonetheless, the Committee viewed that the extra accommodative monetary policy since the beginning of the year as well as fiscal, financial, and credit measures additionally announced helped alleviate adverse impacts, and would support the economic recovery after the pandemic subsided. Moreover, a further decrease in the policy rate would be less effective in the current context and could increase vulnerabilities in the financial system. The limited policy space should therefore be preserved for the appropriate and most effective timing. Also, the Committee deemed it necessary to encourage financial institutions to expedite debt restructuring for households and businesses to have a broader impact and accelerate lending under various measures to address liquidity problems in a targeted and timely manner consistent with business restructuring.

Looking ahead, the Committee assessed that the Thai economic recovery would take at least two years before returning to the pre-pandemic level and would face high uncertainties. Moreover, the recovery would be greatly uneven among economic sectors and firms in different segments. Government policies should therefore be implemented in a targeted and timely manner to facilitate appropriate adjustments, while policy coordination among government agencies would be crucial to ensure more coherent and consistent measures. Going forward, fiscal and supply-side policies should be given a greater role in order to address excess production capacity, as well as support the changing economic structure, patterns of business operations, and labor skill development consistent with the post-COVID environment. The continued accommodative monetary policy would complement fiscal policy through low costs of borrowing and ample liquidity in the financial markets. In addition, the continuation of financial and credit measures, particularly debt restructuring, would help reduce vulnerabilities of households and businesses.

Assessment of the Economic and Financial Outlook as the Basis for Policy Formulation

1. Global Economy

The global economy was expected to contract this year due to the severe impact of the COVID-19 pandemic on private consumption and investment, as well as manufacturing production and exports. As a result, many countries, especially major advanced economies, were expected to enter a recession this year. However, the gradual relaxation of containment measures and government stimulus measures introduced in many countries could lead to a faster-than-expected recovery of trading partner economies. **The Committee thus revised up economic growth projections for Thailand's trading partners to a 4.5 percent contraction in 2020, followed by a 4.4 percent expansion in 2021. However, there remained risks that trading partner economies would underperform the baseline projection due to several factors, but the likelihood that trading partners would re-impose strict and nationwide containment measures declined.** Trading partner economies

could underperform the baseline projection due to a more severe and prolonged outbreak than previously assessed as a result of an emergence of the second wave of the outbreak, greater vulnerabilities in the global financial system, and re-intensifying trade tensions between the U.S. and China. On the other hand, trading partner economies could outperform the baseline projection should the pandemic end sooner than expected, or monetary and fiscal measures implemented worldwide turn out to be more effective than expected.

Governments in various countries worldwide continued to implement monetary and fiscal measures to alleviate the economic impact of the COVID-19 pandemic. Governments continued to introduce series of relief measures aimed particularly at SMEs, households and employment. At the same time, central banks in major advanced economies continued to maintain accommodative monetary policy, including both quantitative easing and low policy interest rates. Meanwhile, some regional central banks eased monetary policy further.

2. Financial Conditions and Financial Stability

Overall financial conditions in Thailand remained accommodative. The real policy interest rate remained low compared with those in other emerging markets. Short-term interest rates in the financial markets stabilized at low levels consistent with the policy rate. Meanwhile, long-term government bond yields increased slightly in tandem with the U.S. Treasury yields and also due to bond-switching activities which contributed to a larger supply of long-term government bonds. Corporate credit spreads remained high, although the spreads of investment-grade bonds began to narrow somewhat. The minimum lending rates (MLR) remained at low levels, while the new loan rates (NLR) for corporates gradually declined, consistent with the accommodative monetary policy and as a result of soft loan programs. Corporate financing continued to expand, albeit at a slower pace as some businesses had already raised funds to increase liquidity in the previous period. With regard to exchange rates, the baht against the U.S. dollar and the effective exchange rate depreciated from the previous quarter, with high exchange rate volatilities during the third quarter in line with investors' risk sentiments. Nevertheless, the Committee assessed that if the baht were to appreciate rapidly, the economic recovery could be affected. Therefore, the Committee would closely monitor exchange rate developments in order to assess the necessity of implementing additional appropriate measures.

The Thai financial system remained highly vulnerable due to this year's economic contraction caused by the COVID-19 pandemic. This led to more vulnerable financial positions of households and businesses and consequently increased risk of defaults. However, the implementation of proactive financial and credit measures, coupled with more targeted measures, such as the DR BIZ program and the debt consolidation program for retail borrowers, would help mitigate these risks.

3. Economic and Inflation Outlook

The Thai economy was projected to contract by 7.8 percent in 2020 as the economy in the second quarter was severely affected mainly by the strict containment measures both domestic and abroad. However, latest data suggested better-than-expected developments in several economic growth components, including private and public investment as well as private consumption that gradually recovered. Nevertheless, Thailand's tourism and merchandise exports continued to contract markedly. **In 2021, the economy was projected**

to expand 3.6 percent, as merchandise exports would gradually improve. Meanwhile, exports of services would recover at a slower rate as the re-opening of the country would only allow a limited number of foreign tourists. With regard to domestic demand, public expenditure would remain an important economic driver. Meanwhile, private consumption would gradually pick up, but would be restrained by vulnerable and highly uncertain household income as well as elevated household debt. Therefore, the economic recovery would take at least two years before returning to the pre-pandemic level.

Assumptions underlying the economic projection in this report are summarized as follows. First, there would be no severe second-wave outbreak of the COVID-19 in Thailand. Second, the re-opening of the country to foreign tourists would commence in the fourth quarter of 2020, but only for a limited number of tourists due to strict screening and quarantine measures. Third, there would be a widespread availability of COVID-19 vaccines in Thailand from the fourth quarter of 2021 onward.

The tourism sector would recover slowly due to the prolonged COVID-19 outbreak situation abroad. As a result, the re-opening of the country to foreign tourists would be uncertain and would only allow a limited number of tourists. The re-opening was expected to commence with the Special Tourist Visa (STV) scheme in the fourth quarter of 2020, with strict screening and quarantine measures. The number of foreign tourists was thus projected to record 6.7 million and 9 million in 2020 and 2021, respectively.

The value of Thai merchandise exports would decline 8.2 percent in 2020. Exports to ASEAN and the Middle East remained subdued in line with the outlook of trading partner economies, while exports to major advanced economies and China started to pick up. In 2021, exports were projected to grow 4.5 percent, but the recovery would be gradual due to trade protectionist measures and slow economic recovery in trading partner economies. Moreover, a large proportion of Thai merchandise exports was affected by the COVID-19, especially automobiles, and machinery and equipment.

The current account balance was projected to register a surplus of 14.0 billion and 14.6 billion U.S. dollars in 2020 and 2021, respectively. The current account balance was revised down from the previous forecast due to a larger deficit in the services balance, mainly as a result of a sharp decline in tourism receipts. Meanwhile, trade balance would register a smaller surplus due to the increase in the value of merchandise imports, in line with larger-than-expected merchandise exports volume and domestic demand in 2021, as well as higher global crude oil prices.

Private consumption would contract in 2020 before expanding in 2021. Looking ahead, consumption was expected to expand at a slower rate than previously assessed as the labor market remained vulnerable. The number of workers unemployed or underemployed (working less than 4 hours per day) would remain high, while employed workers were expected to earn less than previously due to both lower wages and overtime. Household debt would also rise. Nonetheless, government measures would help shore up purchasing power to some extent.

Private investment would sharply decline despite better-than-expected outturns in the second quarter of 2020. The contraction would be due to high levels of excess production capacity and uncertainties surrounding the economic recovery in Thailand and abroad. Nevertheless, infrastructure investment projects, especially the public-private partnership

(PPP) projects both within and outside the Eastern Economic Corridor (EEC) as well as investment in the 5G network, would help boost confidence and private investment to a certain extent. This would facilitate a gradual recovery of private investment.

Going forward, the Thai economy would remain highly uncertain and could face downside risks, depending primarily on the impact of the COVID-19. The possibilities that the economy would underperform the baseline projection would be due to the following factors. First, the global economy could enter a severe recession, which would then weigh on Thai merchandise exports. Second, Thailand could experience the second wave of the COVID-19 outbreak, triggering another round of lockdown measures in some areas. Third, the recovery of the tourism sector could be slow. Fourth, government relief measures could be delayed and smaller than expected. Fifth, balance sheets of businesses could deteriorate and thus caused many businesses to shut down permanently. Sixth, default risks of businesses and households could significantly increase. On the other hand, **there were possibilities that the economy would outperform the baseline projection** due to (1) a faster-than-expected development of COVID-19 vaccines and medicines, (2) better-than-expected impacts of additional government stimulus and credit relief measures, (3) a larger-than-expected expansion of domestic demand driven by infrastructure investment and PPP projects which could incentivize the private sector to invest more than expected, and (4) more relocations of production base to Thailand of multinational corporations thanks to Thailand's success in containing the spread of the virus.

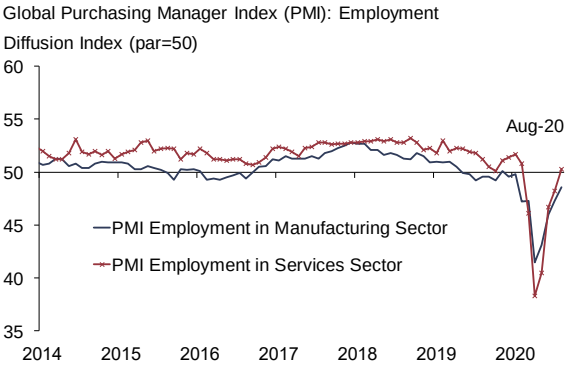
Headline inflation was projected to be negative in 2020 mainly because of the sharp fall in oil prices in the second quarter. Nonetheless, latest data suggested that headline inflation would be higher than previously assessed. This was on account of a gradual increase in crude oil prices in response to higher oil demand, following the relaxation of containment measures in several countries, and the reduction in oil production in accordance with the agreement among major oil producers. In addition, food prices increased due to supply-side factors, while core inflation edged up because of a smaller-than-expected impact of government measures to reduce utility expenses. **The Committee thus projected headline inflation to be negative 0.9 percent in 2020 and turn positive at a level close to the lower bound of the target at 1.0 percent in 2021. Core inflation was projected to be 0.3 and 0.2 percent in 2020 and 2021, respectively.** In this regard, **there remained downside risks to headline and core inflation projections** in line with risks to crude oil prices and the economic growth projection.

1. The Global Economy

The COVID-19 containment measures resulted in temporary disruptions of global economic activities and severely affected Thailand's trading partner economies. Advanced economies and Asia (excluding China) were expected to enter a recession this year. However, a series of financial and fiscal measures implemented would help alleviate the impacts and restore the economy in the period ahead.

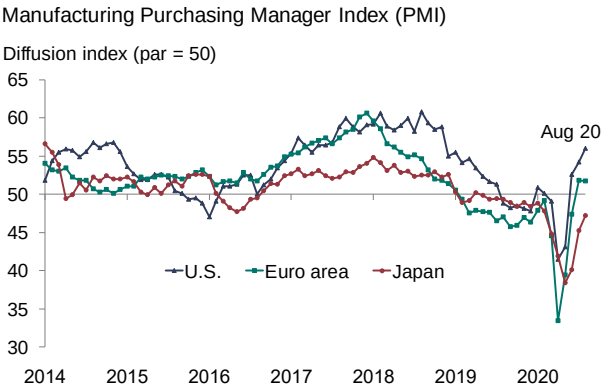
In the second quarter of 2020, advanced economies contracted markedly owing to containment measures implemented in the U.S., the euro area and Japan. This consequently led to a widespread disruptions of economic activities, caused a continued contraction from the previous quarter. Such contraction was particularly seen in manufacturing production, consumption, and investment. Exports also shrank in line with global demand.

Chart 1.1 Global employment in the manufacturing and services sector was expected to gradually recover, but had not yet fully recovered.



Source: JP Morgan

Chart 1.2 G3's manufacturing sector was expected to gradually recover.



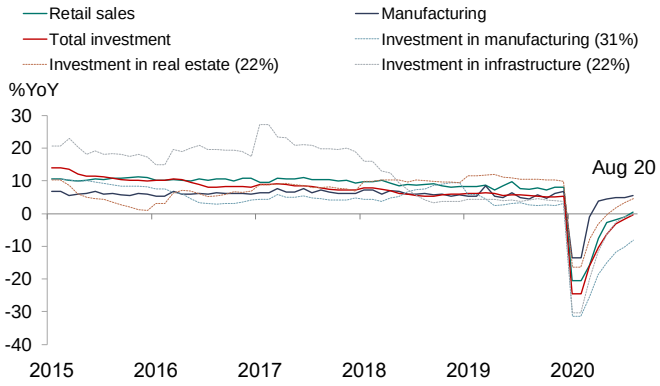
Sources: Bloomberg and Eurostat

In 2020, advanced economies were projected to enter a recession with severe contraction expected in the first half of 2020, before gradually recovering in the second half of 2020, following the gradual relaxation of containment measures. Consumption was expected to gradually recover following the re-opening of the cities, but the recovery would be restrained in the period ahead due to following factors. First, the labor market had yet to fully recover, both in the manufacturing and services sectors (Chart 1.1). Second, the new wave of the outbreak in several countries could trigger another round of strict containment measures. Third, spending patterns have changed in line with the new normal, such as working from home which led to less commutes and away-from-home spending. Fourth, new forms of tourism which allowed for travelling only among designated cities would cause tourism-related businesses to be unable to recover fully during the initial phase. Meanwhile, manufacturing sector would gradually recover, (Chart 1.2) in line with domestic demand that started to improve and declining inventories. Nevertheless, production capacity was expected to be lower than the pre-pandemic level due to weak global demand and uncertainties surrounding re-intensifying trade tensions between the U.S. and China. However, financial, and fiscal measures previously implemented would support the economic recovery in the period ahead.

The Chinese economy would slow down to the lesser extent than previously expected, while Asian economies were projected to contract as a result of containment measures. However, a series of financial and fiscal measures implemented would help shore up the economy in the period ahead.

The Chinese economy resumed growth in the second quarter of 2020 after having contracted in the previous quarter following the relaxation of containment measures in the beginning of the second quarter. Exports and investment expanded, while consumption still contracted. **In 2020, the Chinese economy was expected to slow down less than previously assessed** in line with outlook of the manufacturing production and merchandise exports, as well as domestic demand that benefited from government measures. This was reflected in economic indicators in August that resumed growth. (Chart 1.3) Looking ahead, the Chinese economy would recover in line with merchandise exports that gradually improved in consistent with the outlook of external demand. This would be particularly observed in exports of medical equipment and electronics. In addition, a series of government measures implemented would help shore up the economy in the period ahead.

Chart 1.3 The Chinese economy was expected to slow down less than previously assessed.



Note: ( ) denotes share to total investment

Source: CEIC

Asian economies (excluding Japan and China) in the second quarter of 2020 continued to contract from the previous quarter as a result of the COVID-19 pandemic and containment measures in some countries which affected consumption, investment, manufacturing production, and exports. **In 2020, Asian economies were expected to contract more than previously assessed** as the pandemic caused a larger-than-expected impact on economic activities. In addition, some countries, including Indonesia and the Philippines, experienced a more severe pandemic, affecting the recovery outlook of domestic demand and tourism in the period ahead. Asian exports would continue to be weighed down by the outlook of the slowdown in global trade, except South Korea and Taiwan whose exports comprised of a large proportion of electronics products, while demand for electronics products increased in response to working from home. However, continuous implementation of economic recovery measures in many countries would shore up the economy to some extent.

Governments in many countries worldwide continued to implement financial and fiscal measures to alleviate the economic impacts of the COVID-19 pandemic

Governments in many countries worldwide continued to implement additional measures including relief measures aiming particularly at SMEs, households, and employment. However, governments in many advanced economies started to face limitations in implementing additional measures given less fiscal policy space, as reflected in the historically high level of public debt to GDP. Meanwhile, **central banks in advanced economies continued to maintain accommodative monetary policy, including both quantitative easing and low policy interest rates.** The Federal Reserve (Fed) signaled a

continued accommodative monetary policy by adopting the flexible average inflation targeting policy framework. This framework would allow the inflation rate to be above the target of 2 percent for an extended period in order to compensate the lower-than-target inflation in the past. This implied that the U.S. policy rate would remain low for longer.

Regional central banks continued to maintain accommodative monetary policy. Most central banks maintained their policy rates at low levels, while some central banks, whose policy rate remained high, eased monetary policy further. These included Bangko Sentral ng Pilipinas (BSP), Bank Negara Malaysia (BNM), and Bank Indonesia (BI). Moreover, BI conducted direct financing by purchasing government bonds in the primary market to support high fiscal deficits during the recent COVID-19 pandemic.

Thailand's trading partner economies in 2020 were projected to contract slightly less than previously assessed as advanced economies recovered faster than expected mainly due to domestic demand. However, there remained risks that trading partners' economic growth would underperform the baseline projection due to several factors.

Trading partner economies in 2020 were projected to contract less than previously assessed in the previous *Monetary Policy Report.* This was due to a faster-than-expected recovery of domestic demand in the U.S., euro area, and China. This was a result of the relaxation of containment measures, as well as measures to relief and restore domestic economy. Meanwhile, Asian economies were expected to contract more than previously assessed in response to global trade slowdown which weighed on Asian exports, and prolonged COVID-19 pandemic in several countries. However, a series of financial and fiscal measures implemented would partly help the economy not to severely contract. In 2021, trading partner economies were expected to recover as the pandemic started to subside and due to gradual relaxation of containment measures. **The Committee thus revised up economic growth projections for Thailand's trading partners to a 4.5 percent contraction in 2020, followed by a 4.4 percent expansion in 2021 (Table 1.1).**

The Committee assessed that there remained risks that trading partner economies would underperform the baseline projection due to several factors, but the likelihood that advanced economies would re-impose strict and nationwide containment measures declined. Nevertheless, the possibilities that trading partner economies could underperform the baseline projection included (1) a more severe and prolonged COVID-19 pandemic than previously assessed due to an emergence of the second wave of the outbreak, which could lead many countries to re-impose strict containment measures, (2) greater vulnerabilities in the global financial system owing to increased default risks among corporate and governments in some countries, or credit rating downgrades and (3) re-intensifying trade tensions, particularly between the U.S. and China. On the other hand, there were also possibilities that trading partner economies could outperform the baseline projection owing to (1) a faster-than-expected ending of the pandemic due to effective healthcare measures in many countries and successful development of vaccines and medicines for the COVID-19, and (2) larger-than-expected effects of financial and fiscal measures in many countries in stimulating the economy.

Table 1.1 Assumption on trading partner growth

Annual change (%YoY)	Weight (%)	2019*	2020	2021
United States	18.2	2.3	-7.0 (-0.3)	3.2 (-1.4)
Euro area	9.9	1.2	-10.0 (-2.6)	4.2 (-0.3)
Japan	14.3	0.7	-5.4 (-1.7)	1.7 (0.7)
China	17.0	6.1	0.9 (3.9)	8.9 (5.5)
Asia (excluding Japan and China)*	32.4	2.7	-3.9 (0.2)	3.6 (2.1)
Total***	100	2.7	-4.6 (0.2)	4.3 (2.0)

Note: *Outturn

**Weighted by 7 trading partners' shares in Thailand's exports in 2019, namely, Singapore (5.1%), Hong Kong (6.8%), Malaysia (6.1%), Taiwan (2.3%), Indonesia (5.3%), South Korea (2.7%), and Philippines (4.0%)

***Weighted by 13 trading partners' shares in Thailand's exports in 2019 (including the United Kingdom and Australia)

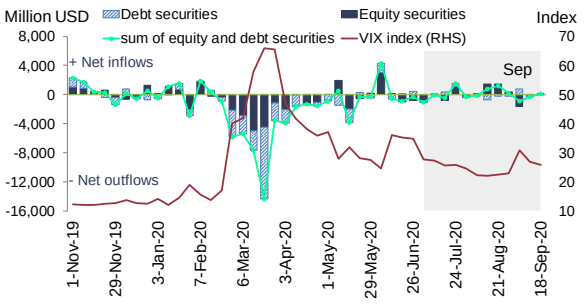
( ) as reported in Monetary Policy Report, June 2020

Capital flows returned to both equity and bond markets of emerging markets, where concerns among investors in the global financial markets declined somewhat due to a lesser-than-expected contraction of advanced economies and continued accommodative monetary policy.

In the third quarter of 2020, concerns among investors in the global financial markets subsided, reflected in a decline in the VIX index[1/] (Chart 1.4) from June 2020. This was on account of a lesser contraction of advanced economies than expected by investors in the global financial markets and the continued accommodative monetary policies of advanced economies. In particular, the new monetary policy framework adopted by the Fed implied that the U.S. policy rate would be low for longer. As a result, this triggered risk-on sentiment where investors had resumed their investment in risky assets, particularly equities. This was reflected in rising MSCI index worldwide (Chart 1.5). However, Asian economies (excluding China) would recover slowly due to the economic structure that relied mainly on merchandise exports and tourism. This prompted investors to remain cautious in investing in equities of emerging markets and invested in markets with relatively stronger external stability.

Chart 1.4 Capital flows returned to both equity and bond markets in some emerging markets with stronger external stabilities.

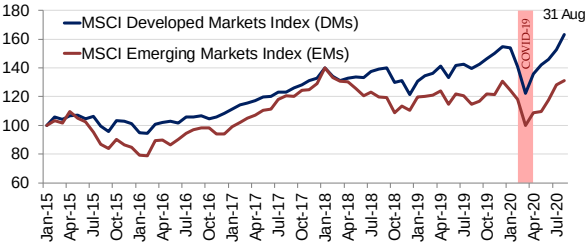
Net capital inflows to EMs* and VIX index (weekly)



Note: *EMs include Thailand, Indonesia, India, South Africa, and Turkey
Sources: Bloomberg and Institutional Institute of Finance

Chart 1.5 Investors resumed their investments in equity markets in consistent with a rise in MSCI index.

Cumulative Index Performance – Gross Returns (USD) in Developed and Emerging Markets (Monthly)



Note: MSCI Developed Markets Index represents large and mid-cap equity performance across 23 Developed Markets countries, e.g. USA and Japan. Whereas, MSCI Emerging Markets Index represents securities in 26 Emerging Markets countries, e.g. China, Korea, India, and Thailand.
Source: Morgan Stanley Capital International

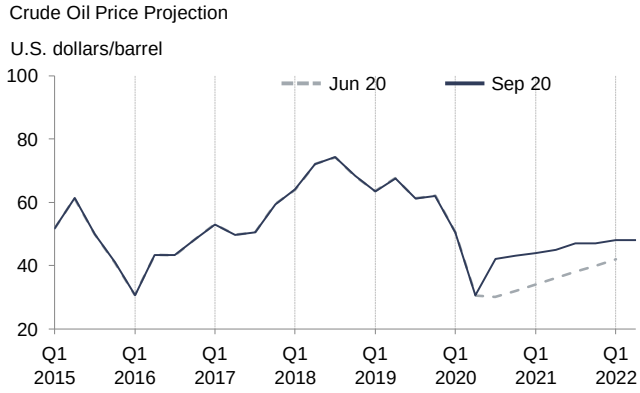
[1/] VIX Index is a measure of the stock market volatility implied by S&P 500 Index options.

Looking ahead, capital flows to emerging markets would continue to be highly volatile, while risks of capital outflows should be monitored including (1) economic outlook of the emerging markets and risks of the second wave of the outbreak, (2) re-intensifying trade tensions between the U.S. and China, (3) the outcome of the U.S. Presidential election that could affect investor confidence in the global financial markets, (4) geopolitical risks, and (5) risks to global financial system stability owing to solvency risks of the private sector and governments of emerging markets that could trigger contagion effects.

Dubai crude oil price in the third quarter of 2020 rose from the previous quarter due to gradual improvement of demand following the relaxation of lockdown measures and the production cut in accordance with the agreement among major oil producers.

Dubai crude oil price in the third quarter of 2020 rose from the previous quarter as overall demand gradually picked up following the relaxation of the lockdown measures in many countries, and the OPEC and its allies including Russia continued to comply with the agreement on crude oil production cut since May 2020. However, crude oil prices did not increase much as oil demand for transportation and air travel remained subdued owing to the COVID-19 pandemic. Moreover, some oil producers in the U.S. resumed production after crude oil prices rose beyond the break-even point at 40 U.S. dollars per barrel.

Chart 1.6 Dubai crude oil price in the third quarter of 2020 rose from the previous quarter as overall demand gradually picked up due to the relaxation of the lockdown measures and the production cut following the agreement on crude oil production cut among major oil producers.



The Committee thus revised up the projection of Dubai crude oil prices in 2020 to 41.5 U.S. dollars per barrel from 35.1 U.S. dollars per barrel and also revised up the projection of Dubai crude oil prices in 2021 to 45.8 U.S. dollars per barrel from 37.0 U.S. dollars per barrel. Crude oil prices were expected to gradually rise in line with the gradual recovery of the global economy. However, crude oil prices might not increase much as crude oil production might increase following the relaxation of the agreement on production cut of the OPEC and its allies, and as the U.S. resumed production following the crude oil price increases. However, **there were risks that crude oil prices could turn out lower than the assessment.** This would be on account of a weaker-than-expected demand for crude oil due to (1) a more severe and prolonged impact of COVID-19 pandemic on the global economy than expected, (2) concerns over the second-wave of the COVID-19 outbreak, and (3) re-intensifying trade tensions between the U.S. and China, and a higher-than-expected crude oil production as the OPEC and its allies failed to comply with agreement until the end of the agreement. On the other hand, crude oil prices could be higher than the assessment given a more severe-than-expected geopolitical risk, and a faster-than-expected development of vaccines for COVID-19.

2. The Thai Economy

2.1 Recent Developments

The Thai economy contracted substantially in the second quarter of 2020 due to containment measures to control the spread of the virus. However, the Thai economy was expected to gradually recover in the third quarter in line with the relaxation of containment measures imposed both in Thailand and abroad.

In the second quarter of 2020, the Thai economy contracted substantially at 12.2 percent from the same period last year due to external and domestic demand slowdown in light of strict containment measures imposed worldwide. This led to temporary disruptions of economic activities across several sectors. Exports of services fell sharply because of international travel restrictions which resulted in no inbound foreign tourists since April. Merchandise exports (excluding gold) and manufacturing in almost all industries contracted on account of (1) a large drop in demand from Thailand's trading partners and global trade volume, and (2) supply chain disruptions caused by temporary suspension of international transport. With regard to domestic demand, private consumption declined due to falling income of both farm and non-farm households as well as weakening consumer confidence, despite supports from government relief measures. Private investment continued to contract on the back of weak domestic and external demand, subdued business confidence, and high level of excess production capacity. Nevertheless, public expenditure expanded on account of accelerated disbursement of current and capital expenditures.

In the third quarter of 2020, latest indicators pointed to a gradual recovery of the Thai economy on the back of the relaxation of containment measures imposed both in Thailand and abroad. However, economic activities were still lower than the pre-pandemic level. Signs of recovery were observed in merchandise exports (excluding gold) and manufacturing in several product categories in line with smaller contraction in most trading partner economies. Meanwhile, exports of services would continue to fall as a result of international travel restrictions. Private consumption was expected to gradually pick up in tandem with the relaxation of containment measures, but would remain low due to falling household income, weak consumer confidence, and rising household debt. Private investment would also contract in line with subdued business confidence. However, public expenditure, both current and capital expenditures, would remain a key economic growth driver.

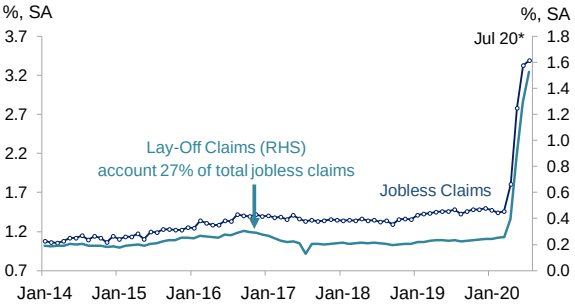
Overall household income remained vulnerable.

Overall household purchasing power remained vulnerable. Non-farm income was affected by the COVID-19 outbreak and containment measures, as reflected in the rise in the number of insured workers applying for unemployment benefits (Section 38 of the Social Security Act) (Chart 2.1). However, working hours of employees affected by the temporary suspension of business improved somewhat following the relaxation of containment measures, but were still lower than that in the previous period. Moreover, the impact was uneven among economic sectors with sectors heavily reliant on external demand facing more severe impacts. (**BOX**: *Investigating Thai labor market…how well it recovered after the city re-opening?*)

Farm income increased slightly, (Chart 2.2) mainly due to higher rice and rubber prices. Prices of rice rose on account of a lower agricultural output caused by the drought and a lower supply from India, a major global rice exporter, due to transportation disruption during the COVID-19 outbreak. Prices of rubber edged up in tandem with global prices on account of stronger demand from China and lower supply from other rubber exporting countries including Thailand. Meanwhile, agricultural output remained stable. Going forward, risk that warranted continued monitoring included weather conditions. Although the increase in rainfall was expected to help alleviate impact of the drought to some extent, overall water levels in dams remained low as a result of uneven rainfall distribution. In addition, potential floods in some areas should be carefully monitored as these could also affect agricultural output.

Chart 2.1 Non-farm income fell substantially as reflected in a significant increase in the number of workers applying for unemployment benefits

Ratio of Jobless Claims to Total Contributors in Section 38*



Note: excluding umployment caused by the COVID-19

* Jul 20: Total jobless claims of 410,061 positions consist of lay-off claims of 177,770 postions, voluntary unemployment claims of 219,811 positions, and contract termination claims of 12,480 positions.

Source: Social Security Office, calculated by Bank of Thailand

Chart 2.2 Farm income improved slightly

Farm income indicator

Index, seasonally adjusted (3-month moving average)
(Jan 2014 = 100)



Note: 1. Indicator is calculated in real terms, excluding price effects.
2. Apr – Jun 20 data is an estimation from Q2 data.

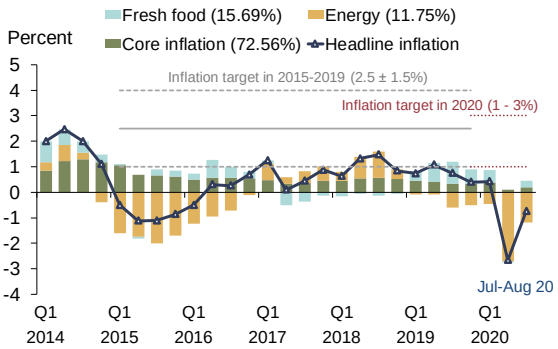
Sources: Bank of Thailand, Office of Agricultural Economics, National Statistical Office, Ministry of Commerce, calculations by Bank of Thailand

Headline inflation was less negative than the previous quarter mainly owing to higher energy and fresh food prices. Core inflation edged up due to the end of government measures to reduce cost of living and somewhat stronger demand following the relaxation of containment measures.

Headline inflation in the first two months of the third quarter of 2020 averaged at -0.74 percent, up from -2.67 percent in the previous quarter, (Chart 2.3) on account of the following factors. First, energy prices gradually increased due to higher domestic retail oil prices in tandem with global crude oil prices, and the end of government relief measures to cut electricity charges during the COVID-19 outbreak. Second, fresh food prices began to rise, especially meat prices, thanks to stronger domestic demand following the relaxation of containment measures and stronger external demand in light of the outbreak of African swine fever in neighboring countries. Moreover, prices of vegetables increased significantly in August as crops were severely damaged by heavy rainfall.

Chart 2.3 Headline inflation was less negative than the previous quarter mainly owing to higher energy and fresh food prices

Headline inflation and inflation target



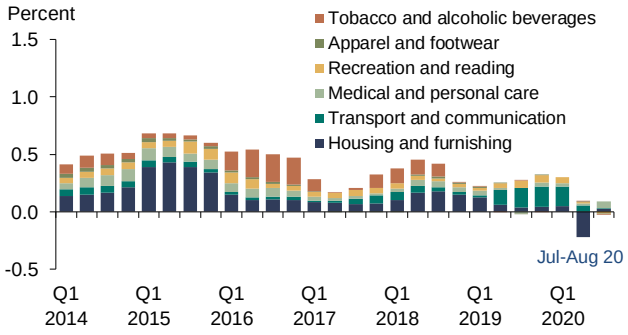
Note: ( ) denotes share in inflation baskets

Source: Ministry of Commerce, calculated by Bank of Thailand

Core inflation in the first two months of the third quarter of 2020 averaged at 0.35 percent, up from 0.12 percent in the previous quarter. Housing and furnishing prices rose (Chart 2.4) following the end of government relief measures to cut water bills to reduce cost of living during the outbreak. Meanwhile, core inflation in the food category increased slightly in line with prepared food prices, particularly prices of food consumed away from home (Chart 2.5), partly because of the relaxation of containment measures.

Chart 2.4 Core inflation in the non-food category (72% of core inflation) increased in line with water supply prices after government measures to reduce cost of living expired

Contribution* to core inflation in the non-food category

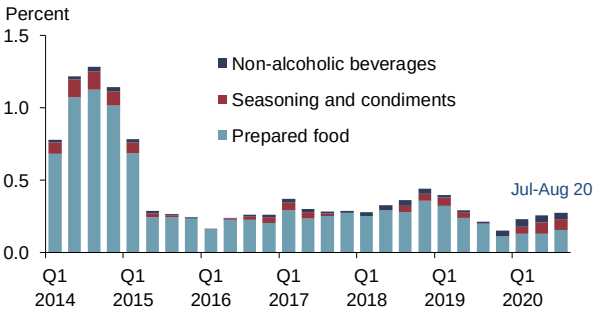


Note: *Contributions to core inflation decompose core inflation into inflation of each component within the basket, weighted by its corresponding share.

Source: Ministry of Commerce, calculated by Bank of Thailand

Chart 2.5 Core inflation in the food category (28% of core inflation) increased mainly due to prepared food prices

Contribution* to core inflation in the food category



Note: *Contributions to core inflation decompose core inflation into inflation of each component within the basket, weighted by its corresponding share.

Source: Ministry of Commerce, calculations by Bank of Thailand

Short-term (one-year ahead) inflation expectations declined. According to the survey of professional forecasters in September 2020, inflation expectations recorded 1.1 percent, down from 1.3 percent in the previous quarter. Inflation expectations based on the survey of businesses in August 2020 recorded 1.3 percent, down from 1.5 percent in the previous quarter. **Long-term (five-year ahead) inflation expectations** remained within the target range.

Table 2.1 Inflation

Annual percentage change	2018				2019				2020		
	Q1	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2	Jul - Aug
Headline Consumer Price Index (Headline CPI)	0.64	1.31	1.47	0.84	0.74	1.08	0.61	0.40	0.42	-2.67	-0.74
Core Consumer Price Index (Core CPI)	0.61	0.76	0.78	0.71	0.62	0.54	0.45	0.47	0.53	0.12	0.35
Fresh food	-1.04	-0.35	-0.82	-0.35	2.51	4.98	5.79	3.58	3.13	-0.34	1.24
Energy	3.01	7.30	9.11	3.39	-0.78	-0.67	-4.95	-4.09	-3.88	-22.86	-10.31

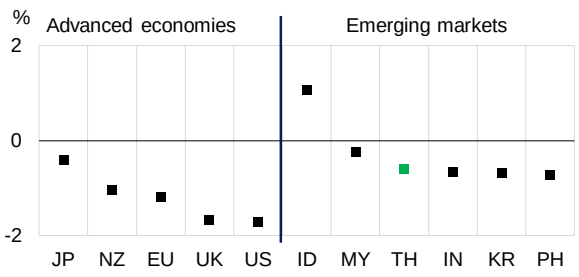
Source: Bureau of Trade and Economic Indices, Ministry of Commerce

Short-term money market rates, lending rates and deposit rates stabilized at low levels, while long-term government bond yields rose slightly from both domestic and external factors.

During the third quarter of 2020, overall financial conditions remained accommodative with real policy interest rate remaining low relative to those of other emerging market economies (Chart 2.6). **Short-term money market rates stabilized at low levels close to the policy rate** (Chart 2.7). Meanwhile, **long-term government bond yields rose slightly** (Chart 2.8) in tandem with the U.S. Treasury yields, which edged up in response to better risk sentiment among investors. The improved risk sentiment was on account of the relaxation of containment measures, the Fed's new monetary policy framework that implied a lower-for-longer U.S. policy rate, and better-than-expected U.S. economic outturns. Moreover, supply of long-term Thai government bonds increased due to government bond restructuring by bond-switching activities. Nevertheless, long-term government bond yields did not increase much owing to a potentially lower-than-expected government bond supply in the fourth quarter of 2020, increased tension between the U.S. and China, and the second-wave outbreak of COVID-19 in many countries.

Chart 2.6 Thailand's real policy rate* remained low compared with emerging market (EM) economies

Real policy rates*

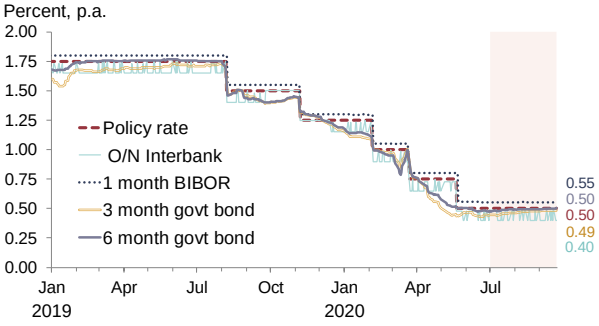


Note: * Calculated from policy rate as of September 22, 2020 subtracted by one-year-ahead inflation expectation according to the survey by Consensus Forecasts (data as of September 14, 2020)

Sources: Bloomberg and Consensus Forecasts, calculated by Bank of Thailand

Chart 2.7 Short-term money market rates stabilized at low levels close to the policy rate

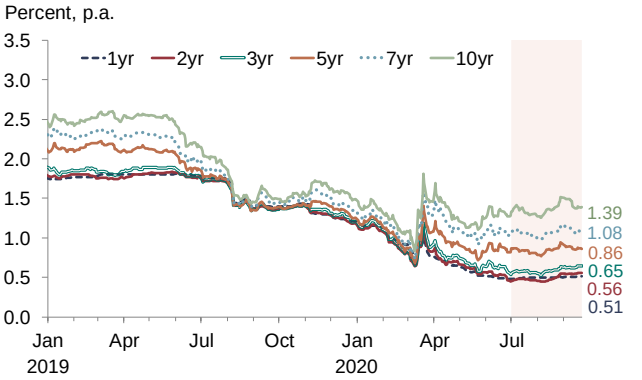
Short-term rates in financial markets



Sources: Bank of Thailand and Thai Bond Market Association (Thai BMA) (data as of September 22, 2020)

Chart 2.8 Short-term government bond yields stabilized around the policy rate while long-term government bond yields slightly increased

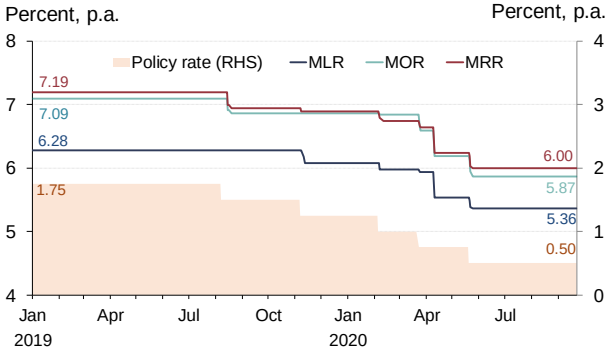
Government bond yields



Source: Thai Bond Market Association (Thai BMA) (data as of September 22, 2020)

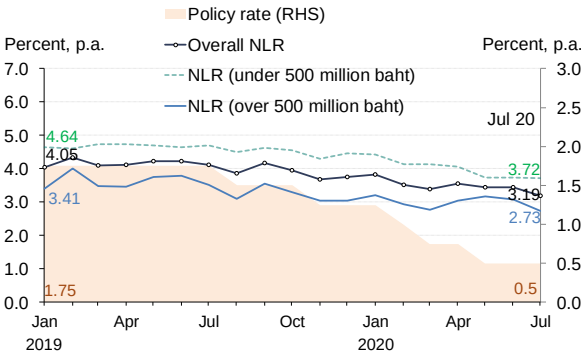
The cost of private sector financing through commercial banks stabilized at low levels, as reflected in reference loan rates of five largest commercial banks that remained low (Chart 2.9). In addition, new loan rates (NLR)[2/] in July 2020 recorded 3.2 percent, down from 3.5 percent at the end of the previous quarter (Chart 2.10). This was partly a result of the government soft loan programs. (**Box**: *New Loan Rate: the real costs of borrowing for businesses*) **Deposit rates** remained stable at low levels (Chart 2.11).

Chart 2.9 MLR, MOR and MRR were unchanged from the previous quarter



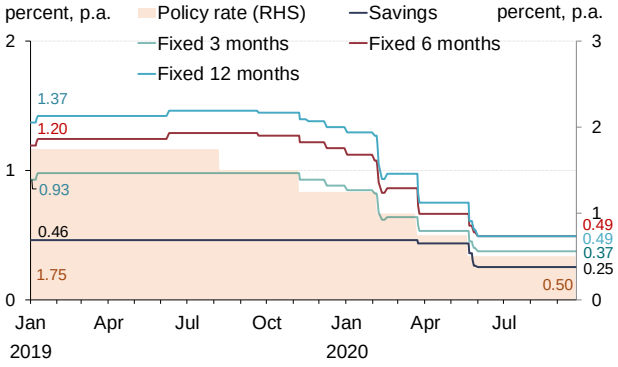
Note: Averages of 5 largest commercial banks' reference loan rates
Source: Bank of Thailand (data as of September 22, 2020)

Chart 2.10 New loan rates (NLR) of commercial banks gradually declined



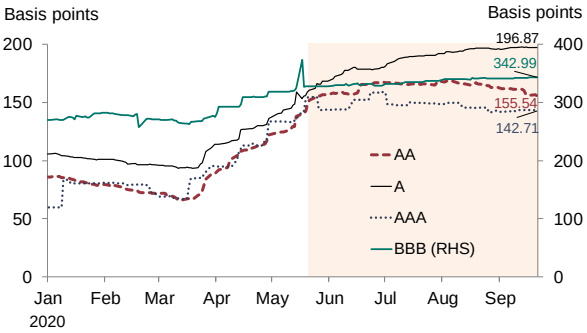
Source: Bank of Thailand (data as of September 22, 2020)

Chart 2.11 Commercial banks' deposit rates stabilized at low levels



Note: Averages of 5 largest commercial banks' deposit rates
Source: Bank of Thailand (data as of September 22, 2020)

Chart 2.12 Corporate credit spread of 3-5 year maturity remained high



Sources: Bank of Thailand and Thai Bond Market Association (Thai BMA) (data as of September 22, 2020)

Corporate credit spreads remained high since the second quarter of 2020 (Chart 2.12), reflecting concerns over the COVID-19 outbreak which could be more prolonged than expected and in turn affect debt servicing ability of some businesses. However, since late August 2020, corporate credit spreads of investment-grade bonds began to fall slightly.

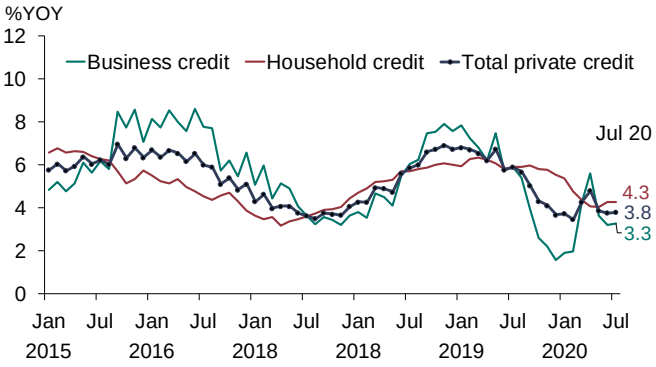
[2/] NLR is the weighted average of interest rates on new loan contracts extended by 14 Thai commercial banks. The data covers loans of all types, purposes and maturities, both secured and non-secured loans, but excludes overdraft loans, consumer loans, credit card loans, repurchase agreements, bank guarantees, as well as loans to financial intermediaries, the public sector and non-residents. Moreover, interest rates used in the calculation refer to the mid-rate between the lowest and the highest rates in each loan contract.

Private sector financing expanded at a slower rate mainly owing to business credit, while household credit growth accelerated slightly in line with household spending following the relaxation of containment measures.

Private sector loans[3/] **and bond issuances (private credit) grew at a slower rate of 3.8 percent in July 2020** from the same period last year (Chart 2.13). Private credit growth was supported by businesses affected by the COVID-19 which raised funds to increase liquidity at the beginning of the second quarter, and by the government soft loan programs previously implemented. **Business loans and corporate bond issuances expanded 3.3 percent in July 2020** from the same period last year (Chart 2.14). Corporate financing through bond issuances softened quite substantially at the beginning of the second quarter due to tight liquidity conditions in the bond market. However, in June and July 2020, corporate financing through bond issuances started to pick up somewhat, especially by large corporates. Meanwhile, business credit growth moderated since the beginning of the second quarter mainly due to businesses that were affected by the COVID-19, especially those related to manufacturing and trade (Chart 2.15). **Household credit expanded 4.3 percent** from the same period last year and slightly accelerated from the second quarter. Such expansion was mainly driven by mortgage loans, partly as a result of sales promotion offered by developers and some delayed purchases since the peak of the COVID-19 outbreak.

Chart 2.13 Private credit (private sector loans and bond issuances) decelerated mainly from business credits, while household credits expanded at a slightly higher rate

Growth of private credit



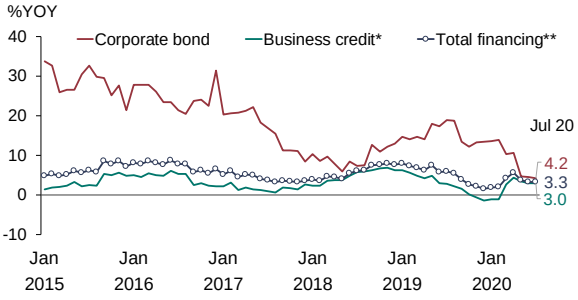
Note: 1) Private sector loans include credit extended by (1) Other Depository Corporations (ODCs) namely commercial banks, specialized financial institutions, finance companies, saving cooperatives, and money market mutual funds, (2) Other Financial Corporations (OFCs), and (3) non-residents

2) The definition of private credit was redefined to cover broader types of lenders and financial instruments. The data was first published in the MPR in 2019Q4, where the data was available from January 2012.

Source: Bank of Thailand

Chart 2.14 Corporate financing decelerated

Growth of business credit and corporate bond outstanding



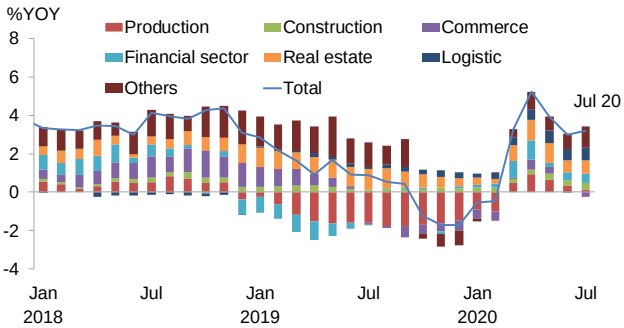
Note: * Business loans covers lending activities of Other Depository Corporation (ODCs), Other Financial Corporations (OFCs), and non-residents

** The definition of private credit was redefined to cover broader types of lenders and financial instruments. The data was first published in the MPR in 2019Q4, while the data was available from January 2012.

Sources: Thai Bond Market Association (Thai BMA) and Bank of Thailand

Chart 2.15 Demand for business loan continued to decelerate in production and commerce sectors

Growth of commercial loan outstanding classified by business sector*



Note: *lending by commercial banks registered in Thailand (excluding their bank branches abroad) and foreign bank branches

Sources: Bank of Thailand

3/ Loans extended to the private sector consist loans extended by (1) other depository corporations (ODCs) namely commercial banks, specialized financial institutions, finance companies, saving cooperatives and market mutual funds, (2) other financial institutions (OFCs), and (3) non-residents.

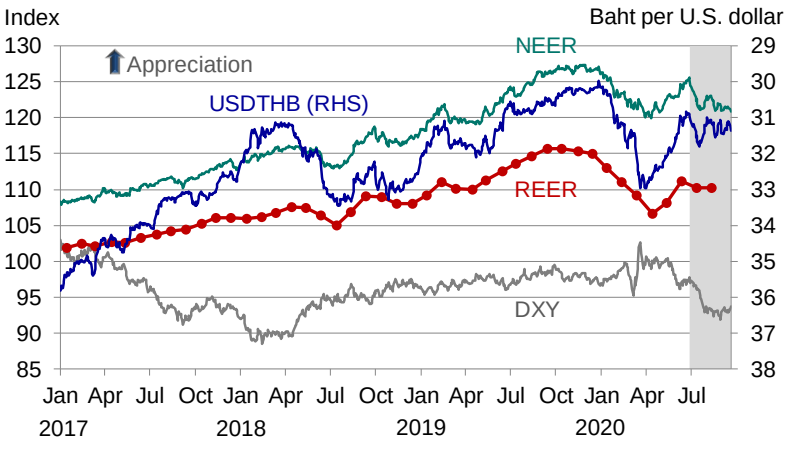
In the third quarter of 2020, corporate financing, both through credit and bond markets, was expected to continue expanding. In particular, businesses would continue to raise funds through credit market in order to manage liquidity to cushion against the economic impact of the COVID-19 outbreak. However, business credit growth might slow down somewhat because some businesses already secured loans for liquidity provision purposes in the previous period. Financial institutions would also remain cautious in extending loans, especially for large corporates, given the highly uncertain economic outlook.[4/] In addition, corporate bond financing was projected to rise. Demand for household credits would also increase, particularly credit card and consumer loans, thanks to the relaxation of containment measures imposed in Thailand.

In the third quarter, the baht against the U.S. dollar and the nominal effective exchange rate (NEER) depreciated relative to the previous quarter with volatile movements of the baht throughout the quarter in response to investors' risk sentiment.

In the third quarter of 2020, the baht against the U.S. dollar depreciated relative to the previous quarter. The baht exhibited volatile movements throughout the quarter in response to investors' risk sentiment (Chart 2.16). At the beginning of the quarter, the baht weakened rapidly given concerns over risk of the second-wave outbreak in Thailand. Businesses in Thailand also purchased U.S. dollars for profit repatriation and overseas investment. Subsequently, the baht gradually strengthened in tandem with other regional currencies on the back of weaker U.S. dollars. U.S. dollar depreciation was on account of the improved risk sentiment among global investors due to the Fed's new monetary policy framework that implied a lower-for-longer U.S. policy rate, and a better-than-expected U.S. economic outturns. Nonetheless, the baht weakened somewhat toward the end of the quarter in light of investor concerns over the increased tension between the U.S. and China, as well as political uncertainty and risk of the second-wave outbreak in Thailand. Thus, the baht averaged at 31.26 baht to U.S. dollar in September 2020 (as of September 22, 2020), a 0.4 percent depreciation from the average of June 2020.

Chart 2.16 The baht depreciated against the U.S. dollar due to risk-off sentiment among global investors and domestic factors

USDTHB, NEER, DXY

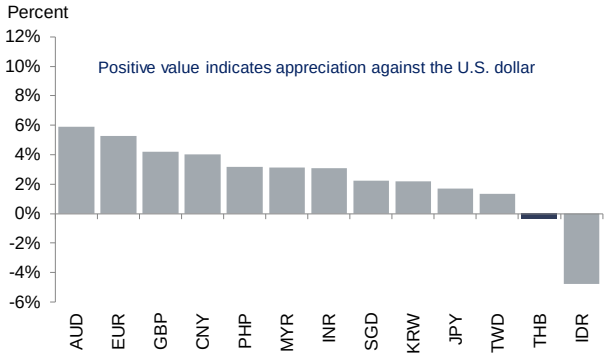


Source: Bank of Thailand, Bloomberg and Reuters (data as of September 22, 2020)

[4/] Results of financial institutions'survey as published in the Report on Credit Conditions Q2/20 and Outlook for Q3/2020.

The Nominal Effective Exchange Rate (**NEER**) **index** averaged at 121.34 in September 2020 (as of September 22, 2020), 2.3 percent lower than the average of June 2020. This was attributable to a larger degree of baht depreciation than most trading partner currencies (Chart 2.17). Meanwhile, the preliminary **Real Effective Exchange Rate** (**REER**) in August 2020 weakened 0.9 percent from an average of June 2020. Going forward, exchange rates would likely remain volatile pertaining to risk of the second-wave outbreak in several countries, and economic policies in major advanced economies.

Chart 2.17 The baht depreciated against the U.S. dollar at a larger degree than most trading partner currencies (Avg. in Sep 20 compared to avg. in Jun 20)



Source: Bank of Thailand and Reuters (data as of September 22, 2020)

Financial system stability was still subject to high risk from this year's large contraction of the economic outlook, especially driven by financial positions of households and businesses. However, proactive financial and credit measures would help mitigate such risk.

Financial system stability was still subject to high risk from this year's large contraction of the economic outlook in light of the COVID-19 outbreak. However, fiscal sector stability remained sound with capacity to support the economic recovery and restructuring. Although the ratio of public debt to GDP was expected to rise, this would be at a manageable level. Moreover, stability of financial institutions remained robust, as reflected by adequately high levels of commercial banks' capital buffers and reserves, providing cushion against risks of deteriorating credit quality. Risks to financial system stability that warranted close monitoring could be summarized as follows.

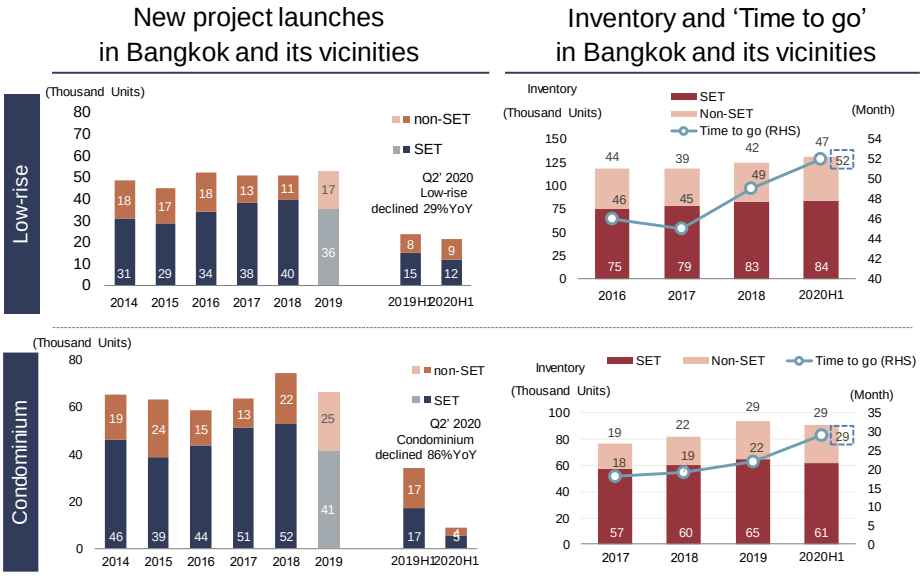
1. Household financial positions were fragile with risk of defaults. Although household debt continued to decelerate, household debt-to-GDP ratio remained high at 83.8 percent at the end of the second quarter of 2020 given the economic contraction. In the second half of 2020, household debt-to-GDP ratio was projected to increase mainly in line with household demand for credits, which would likely rise in tandem with spending demand following the relaxation of containment measures.

The Bank of Thailand therefore continued to introduce a number of proactive financial and credit assistance measures for retail borrowers in order to alleviate the impact of COVID-19. These measures helped curtail the deterioration of household credit quality to some extent, as reflected in the stable NPL ratio of consumer loans at 3.1 percent at the end of the second quarter of 2020. However, debt servicing ability of households would need to be monitored closely after some government relief measures ended. In this light, the Bank of Thailand recently launched debt consolidation program for retail borrowers. (**Box**: *Additional public financial and credit measures*) in order to further alleviate debt burden for households.

2. Business financial positions were vulnerable with risk of defaults. The loss of business revenue in light of the COVID-19 outbreak led to a continued decline in operating profit margins (OPM) and interest coverage ratio (ICR). In particular, businesses that were highly vulnerable included, first, tourism-related services that were severely affected by international travel restrictions and unable to fully recover despite some improvement in domestic demand. This resulted in large excess supply, especially in hotel and airline businesses. Second, other highly vulnerable businesses included tourism-related trade and trade businesses, such as department stores, that were affected by lockdown measures in high-risk areas and sluggish recovery of economic activities. Third, automobiles and auto parts also suffered from weaker domestic and external demand, shortages of raw materials caused by supply chain disruption, and lockdown measures in some countries which prevented export deliveries even when the purchase order had been placed. The adaptability and debt servicing ability of businesses thus warranted close monitoring. The public sector recently introduced additional financial and credit measures to support liquidity and alleviate debt burden of businesses. (**Box***: Additional public financial and credit measures*)

3. The real estate market remained fragile, where most developers reduced new project launches in light of falling demand. This was reflected in the decline in new project launches of low-rise residences and condominiums in Bangkok and its vicinities by 29 percent and 86 percent, respectively, in the second quarter of 2020, relative to the previous year**. However, the real estate market was still subject to high risk, as reflected in the longer time-to-go for low-rise residences and condominiums as well as large excess supply, especially among non-SET developers** (Chart 2.18). This was as these developers faced constraints in modifying their projects to meet buyers' preferences, and had limited capacity to compete on price and carry out sales promotion. Risk pertaining to non-SET developers thus warranted continued monitoring, particularly if demand recovery turned out slower than expected, which would affect liquidity of these developers going forward.

Chart 2.18 The real estate market remained fragile as reflected in the longer time-to-go and large excess supply



Source: Real Estate Information Center (REIC) and Agency for Real Estate (AREA), calculated by Bank of Thailand

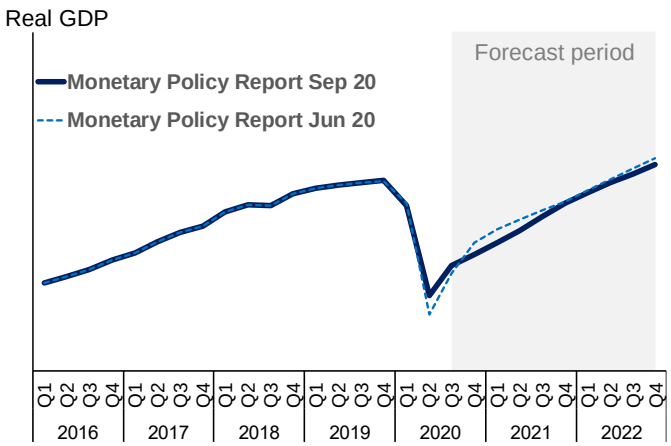
2.2 Outlook for the Thai Economy

The Thai economy would contract in 2020 less than previously assessed in the previous *Monetary Policy Report*. However, the economic recovery in 2021 would be slower than expected mainly on account of tourism. Meanwhile, headline inflation was projected to be less negative.

Under the Committee's assessment, the Thai economy was projected to contract 7.8 percent in 2020, less than the previous forecast of 8.1 percent contraction in the previous *Monetary Policy Report*. The impact of the lockdown measures on the Thai economy in the second quarter was less severe than previously assessed, as observed in better-than-expected outturns across several economic growth components. Nevertheless, the outlook of Thailand's economic recovery in the period ahead remained highly uncertain due to the continued spread of COVID-19 globally, the expiration of economic relief measures at the end of the year, and the direction of government measures going forward. In particular, the reopening of the country to foreign tourists was expected to allow a more limited number of tourists than previously forecasted. **In 2021, the Thai economy was thus projected to expand 3.6 percent, lower than the previous assessment of 5.0 percent in the previous Monetary Policy Report. The Committee projected that the Thai economy would take at least two years before returning to the pre-pandemic level** (**Chart 2.19**).

Chart 2.19 The Thai economic recovery in 2021 would be slower than expected mainly owing to tourism

Real GDP (sa, natural log)



Assumptions about COVID-19 which underlined the economic projection in this report included the followings. First, there would be no severe second-wave outbreak of the COVID-19 in Thailand. Second, the re-opening of the country to foreign tourists would be delayed by one quarter to the fourth quarter of 2020, and would only allow a limited number of foreign tourists due to strict screening and quarantine measures. Third, there would be a widespread availability of COVID-19 vaccines in Thailand from the fourth quarter of 2021 onward.

Headline inflation in 2020 was projected to be negative at 0.9 percent, less negative than the estimate in the previous *Monetary Policy Report.* Headline inflation was assessed to be higher than previously projected throughout the forecast horizon mainly due to supply-side factors. These factors included higher energy prices in line with assumptions

on crude oil prices, increased food prices, and higher core inflation in light of the smaller-than-expected impact of measures to reduce public utility expenses. **In 2021, headline inflation was projected to be close to the lower bound of the target at 1.0 percent**.

Table 2.2 Forecast summary

Percent	2019*	2020	2021
GDP growth	2.4	-7.8 (-8.1)	3.6 (5.0)
Headline inflation	0.7	-0.9 (-1.7)	1.0 (0.9)
Core inflation	0.5	0.3 (0.0)	0.2 (0.1)

Note: * Outturn

( ) Monetary Policy Report June 2020

Sources: NESDB, Ministry of Commerce, Bank of Thailand's estimates

Summary of the key forecast assumptions

- Trading partner economies were projected to expand slightly more than previously assessed on account of the faster-than-expected recovery of domestic demand in the U.S., the euro area and China, thanks to the relaxation of containment measures as well as benefits from domestic economic relief and recovery packages. Nevertheless, trading partner economies in Asia would contract more than previously assessed in line with a slowdown in global trade volume and prolonged COVID-19 outbreak in several countries.
- The Federal funds rate was projected to be maintained at a range of 0.00 - 0.25 percent throughout the forecast horizon. In addition, the Fed's new monetary policy framework implied a lower-for-longer U.S. policy rate.
- Regional currencies (excluding the Chinese yuan) appreciated more than previously projected throughout the forecast horizon mainly due to the weakening U.S. dollar, in line with the Fed's signal on a longer period of accommodative monetary policy.
- The Dubai crude oil prices would increase throughout the forecast horizon on account of stronger demand following the relaxation of containment measures and the agreement to cut crude oil production of major oil producers. However, crude oil prices would remain low as U.S. oil producers resumed production, while demand remained weak in line with the global economic outlook and the airline industry that had yet to recover.
- Farm income (excluding government support measures) in 2020 contracted less than the previous projection due to higher prices of rubber and rice. Farm income in 2021 would expand at a slower pace than previously assessed because this year's drought would affect next year's agricultural output, especially sugarcane.
- Public spending at current price declined in 2020 due to lower-than-expected government consumption, especially actual disbursement in the second quarter. Moreover, disbursement of public health program under the Emergency Decree Authorizing the Ministry of Finance to Raise Loans to Solve Problems, to Remedy and Restore the Economy and Society as Affected by the Coronavirus Disease Pandemic in 2019 (B.E. 2563). delayed longer than expected, where part of the budget was postponed to 2021.

Table: Summary of forecast assumptions

Annual percentage change	2019*	2020	2021
Trading partners' GDP growth (% YoY)[2/]	2.7	-4.5 (-4.6)	4.4 (4.2)
Fed funds rate (% at year end)	1.50 - 1.75	0.00 - 0.25 (0.00 - 0.25)	0.00 - 0.25 (0.00 - 0.25)
Regional currencies (excl. China) vis-à-vis the U.S. dollar (index)3/	156.6	158.2 (159.5)	156.6 (159.5)
Dubai crude oil price (U.S. dollar per barrel)	63.5	41.5 (35.1)	45.8 (37.0)
Farm income (% YoY)	2.4	-1.7 (-3.7)	3.4 (5.7)
Government consumption at current price (billion baht)[1/]	2,723	2,833 (2,871)	3,038 (3,028)
Public investment at current price (billion baht)[1/]	966	1,051 (1,029)	1,182 (1,184)

Notes: [1/] Assumption includes spending on infrastructure investment plans
[2/] Weighted by each trading partner's share in Thailand's total exports
[3/] Increasing index represents depreciation, decreasing index represents appreciation
* Outturns
( ) *Monetary Policy Report* June 2020

Merchandise exports would exhibit a smaller-than-expected contraction this year, where growth would turn positive in the following year.

The value of Thai merchandise exports in 2020 would exhibit a smaller contraction than previously assessed, both in terms of volume and price. With regard to exports volume, data outturns showed a smaller-than-expected contraction in the second quarter of 2020**.** In particular, this was driven by exports to major advanced economies and China, and partly by exports of gold that were higher than usual consistent with the historical high gold prices in the global market. Meanwhile, prices of merchandise exports were projected to rise, mainly owing to prices of goods that were sensitive to movements of crude oil prices. Looking ahead, Thai merchandise exports would gradually recover with pressures coming from the slowdown in global trade volume caused by trade protectionist measures and a slower-than-expected economic recovery of major trading partners, such as ASEAN and the Middle East. Moreover, a large proportion of Thai merchandise exports was affected by the COVID-19, especially automobiles and machinery and equipment**.** These products were highly sensitive to changes in income of trading partners. Meanwhile, proportion of electronic products that benefited from work-from-home measure was low relative to that of other regional countries **(Box:** *The post-COVID-19 recovery of Thai exports under structural constraints*). **The Committee thus projected the value of merchandise exports to contract 8.2 percent in 2020 before expanding 4.5 percent in 2021**.

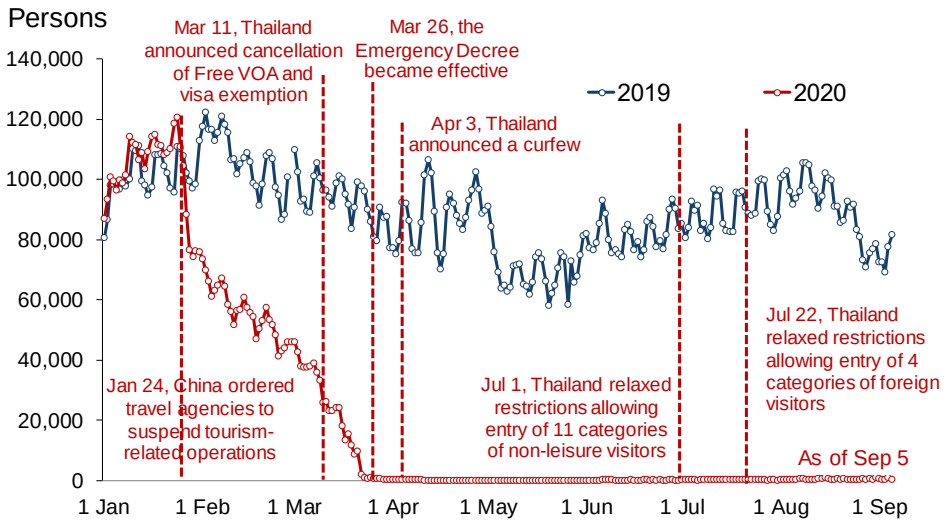
Exports of services were expected to contract more severely in line with foreign tourist figures.

The tourism sector was projected to recover more slowly than the previous assessment. This was because the COVID-19 outbreak situation abroad would be more prolonged than previously expected, while second-wave outbreak in several countries and the outbreak situation in some countries had yet to be contained. As a result, the re-opening of the country to foreign tourists would be uncertain and would only allow a limited number of tourists. The re-opening was expected to commence with the Special Tourist Visa (STV) scheme in the fourth quarter of 2020, with strict screening and quarantine measures. The number of foreign tourists would thus remain low until the scope of the re-opening would be expanded in the latter half of 2021. **The foreign tourist figures were therefore projected to be 6.7 and 9.0 million in 2020 and 2021, respectively, lower than previously assessed**

in the previous *Monetary Policy Report*. Although spending per head of foreign tourists under the STV scheme would be much higher than the average because of high daily spending and longer period of stay, it would not be sufficient to offset the decline in tourism receipts caused by the fall in foreign tourists. Exports of services were therefore projected to decline throughout the forecast horizon.

Chart 2.20 There had been no foreign tourists in Thailand since Q2/2020

Number of daily foreigners arrival through 5 major airports*



Note: *5 main airports include Suvarnabhumi, Don Mueang, Chiang Mai, Hat Yai and Phuket International Airports, accounting approximately 83% of total foreign tourists.

Source: TAT Intelligence, Ministry of Tourism and Sports, compiled by BOT

The current account balance was projected to register a surplus of 14.0 and 14.6 billion U.S. dollars in 2020 and 2021, respectively. The current account balance was revised down from the previous assessment due to a larger deficit in the services balance, mainly as a result of a marked decline in tourism receipts. Meanwhile, trade balance was expected to record a slightly smaller surplus as the value of merchandise imports increased quite substantially, despite the increase in the value of merchandise exports. This was in line with larger-than-expected merchandise exports volume and domestic demand in 2020, as well as higher global crude oil prices.

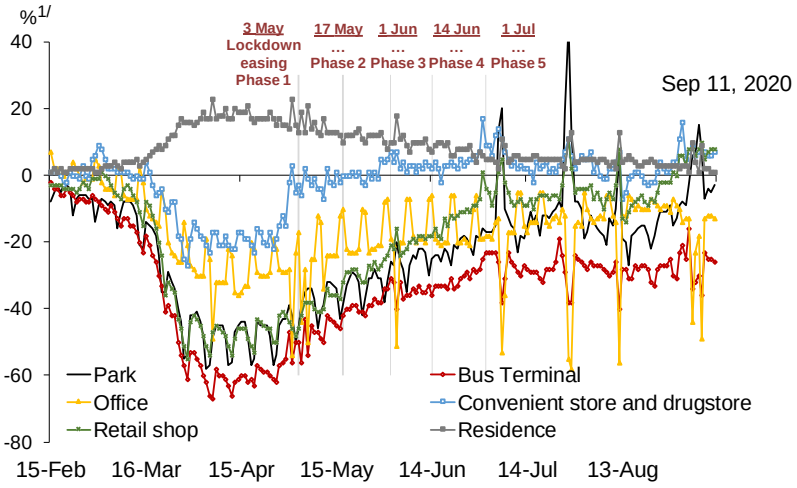
Private consumption would contract less than the previous forecast, but was expected to expand at a slower rate than previously assessed in the period ahead.

Private consumption would contract in 2020 less than previously assessed following the relaxation of lockdown measures to nearly normal situation (Chart 2.21). Private consumption was additionally supported by government measures, such as cash transfers for those affected by the outbreak, domestic tourism stimulus campaign, and private consumption stimulus package at the beginning of the fourth quarter**.** These measures would help shore up purchasing power to some extent. In addition, farm income would partly improve in line with increased prices of rice and rubber. However, **private consumption in 2021 was expected to slow down more than previously assessed** due to highly vulnerable and uncertain household income, as well as a large number of workers unemployed or underemployed (working less than 4 hours per day). In particular, workers in the services sector, whose revenue depended on foreign tourists, would be severely affected by the delay in the extensive

re-opening of the country to foreign tourists. Moreover, workers in other industries that recovered slowly, such as automobiles and machinery and equipment, would also be particularly affected. In addition, employed workers were expected to earn less than previously due to both lower wages and overtime**.** Consumer confidence would remain subdued, while household debt would remain elevated. These factors would prompt households to be more cautious in their spending, which would weigh on private consumption in the period ahead**.**

Chart 2.21 Domestic pending and tourism gradually recovered following the relaxation of lockdown measures with additional support from government measures

Google Mobility Data: Thailand



Note: 1/ compared to average daily transportation during Jan 3 – Feb 6, 2020

Source: Google, calculated by BOT

Private investment in 2020 would continue to sharply decline, but was expected to gradually recover.

Private investment in 2020 would continue to sharply decline but would record a smaller contraction than the previous projection, in line with better-than-expected outturns in the second quarter of 2020. Factors supporting private investment remained weak due to high levels of excess production capacity and uncertainties surrounding the economic recovery in Thailand and abroad. Nevertheless, infrastructure investment projects, especially the public-private partnership (PPP) projects both within and outside the Eastern Economic Corridor (EEC) as well as investment in the 5G network, would help boost confidence and private investment to a certain extent. This would facilitate a gradual recovery of private investment in the period ahead.

Projection of headline inflation would be higher than previously assessed.

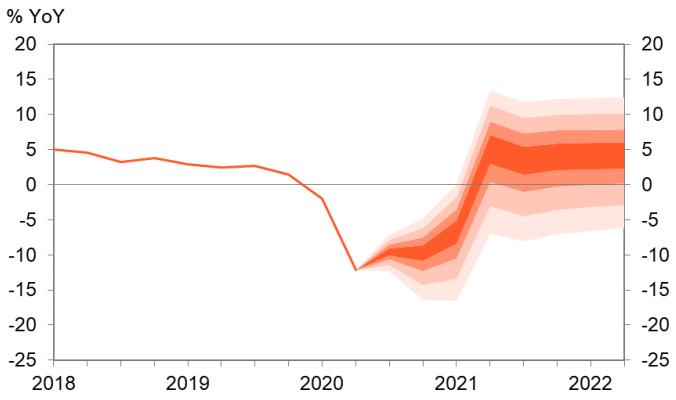
Projection of headline inflation in 2020 would be negative at 0.9 percent, higher than previously assessed in the previous *Monetary Policy Report*. This was on account of higher-than-expected data outturns**.** Moreover, government measures to reduce public utility expenses had a smaller-than-expected impact, while prices across all product categories increased in line with higher crude oil prices**.** In addition, food prices edged up due to supply-side factors**. In 2021, headline inflation would remain close to the lower bound of the target**

at 1.0 percent in 2021, mainly in line with the assumption on a gradual increase in global crude oil prices**. Core inflation was projected to slightly increase, but would remain low at 0.3 and 0.2 in 2020 and 2021, respectively.**

Economic and inflation projections would be subject to high uncertainties and downside risks.

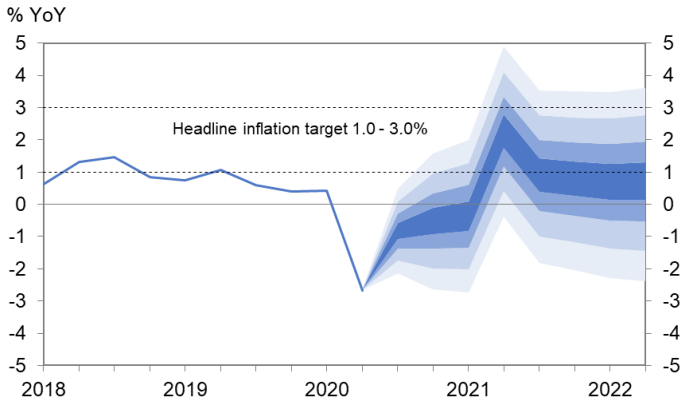
Going forward, the Thai economy would remain highly uncertain and could face downside risks, depending primarily on the impact of the COVID-19. This was reflected in a wide fan chart that tilted toward the downside (Chart 2.22). Nevertheless, the probability that the economy would underperform the baseline projection was lower than that in the previous *Monetary Policy Report*, due to better-than-expected outturns in the second quarter of 2020 and the inclusion of some downside risks into the baseline projection, especially the reduction in the number of foreign tourists in 2021. **The possibilities that the Thai economy would underperform the baseline projection would be due to the following factors.** First, the global economy could enter a severe recession stemming from factors such as a new wave of the COVID-19 outbreak or global financial instabilities, which would then weigh on Thai merchandise exports. Second, Thailand could experience the second wave of the COVID-19 outbreak, triggering another round of lockdown measures in some areas. Third, the recovery of the tourism sector could be slow due to changes in behavior of tourists and longer-than-expected delay in the extensive re-opening of the country to foreign tourists. Fourth, government relief measures could be delayed and smaller than expected. Fifth, balance sheets of businesses could deteriorate and thus caused many businesses to shut down permanently. This would cause scar effects, resulting in slow economic recovery even after the outbreak ended. Sixth, default risks of businesses and households could significantly increase. On the other hand, there were **possibilities that the economy would outperform the baseline projection** due to (1) a faster-than-expected development of COVID-19 vaccines and medicines, (2) better-than-expected impacts of additional government stimulus measures to shore up consumption and credit relief measures, (3) larger- than-expected expansion of domestic demand driven by infrastructure investment and PPP projects which could incentivize the private sector to invest more than expected, and (4) more relocations of production base to Thailand of multinational corporations thanks to Thailand's success in containing the spread of the virus. Meanwhile, **there remained downside risks to headline and core inflation projections** (Chart 2.23 and 2.24) in line with risks to crude oil prices and the economic growth projection.

Chart 2.22 Growth forecast



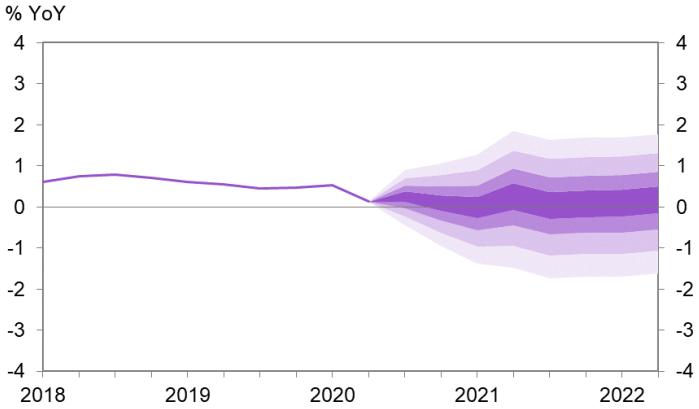
Note: Fan chart covers 90% of the probability distribution

Chart 2.23 Headline inflation forecast



Note: Fan chart covers 90% of the probability distribution

Chart 2.24 Core inflation forecast



Note: Fan chart covers 90% of the probability distribution

Table 2.3 Forecasts of GDP and components

Annual percentage change	2019*	2020	2021
GDP growth	2.4	-7.8 (-8.1)	3.6 (5.0)
Domestic demand	3.3	-2.9 (-3.4)	3.7 (4.0)
Private consumption	4.5	-3.5 (-3.6)	2.0 (2.5)
Private investment	2.8	-11.4 (-13.0)	4.2 (5.6)
Government consumption	1.4	3.4 (3.8)	5.1 (3.1)
Public investment	0.2	8.8 (5.8)	11.4 (14.1)
Exports of goods and services	-2.6	-21.2 (-22.7)	4.3 (8.4)
imports of goods and services	-4.4	-16.6 (-18.9)	4.4 (7.3)
Current account (billion, U.S. dollars)	37.0	14.0 (15.5)	14.6 (20.2)
Value of merchandise exports	-3.3	-8.2 (-10.3)	4.5 (4.5)
Value of merchandise imports	-5.6	-13.7 (-16.2)	4.4 (4.1)
Number of foreign tourists (million person)	39.8	6.7 (8.0)	9.0 (16.2)

Note: *Outturns

( ) *Monetary Policy Report* June 2020

Investigating Thai labor market…
how well it recovered after the city re-opening

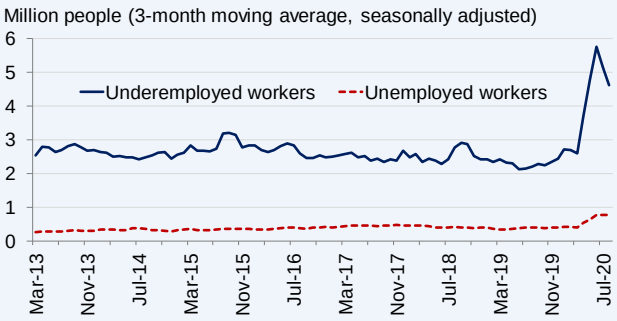
The COVID-19 pandemic severely affected the Thai labor market. The fact suggested that, first, in the second quarter of 2020 during the city lockdown, the number of unemployed and underemployed[5/] workers totaled 6 million persons. The number of unemployed workers almost doubled, while the number of underemployed workers was at the historical high. Although the figures improved following the city re-opening and as economic activities started to recover, the number of workers unemployed and underemployed remained high at around 4 million persons. Second, the impact was uneven across economic sectors, where sectors relying on external demand were severely affected and would recover more slowly than other sectors. Third, more than 1 million workers returned to their domicile, with some remaining unemployed. Those that sought for new jobs were mostly employed in sectors with low productivity and wages, especially in the agricultural sector.

Against the backdrop of vulnerable recovery of the labor market and high uncertainties arising from various risk factors, the number of unemployed and underemployed workers would remain high, especially workers in tourism- and export-related sectors. Therefore, labor policy would be more important **in creating job and income, as well as enhancing skill development for workers to be consistent with the changing economic structure after the COVID-19 subsided.**

Fact No.1 **In the second quarter of 2020, the number of unemployed workers almost doubled and that of underemployed workers was at the historical high following disruptions of economic activities during the city lockdown. The number of unemployed workers rose from around 400 thousand to 750 thousand, while underemployed workers recorded high level of 5.4 million.** (Chart 1) Underemployed segment should also be given importance as these workers, though not yet unemployed, earn low income given low working hours. This might not be enough to sustain the whole households. **During the gradual re-opening of the cities, the number of unemployed and underemployed workers improved somewhat from the lockdown period, but remained high. In August, unemployed workers recorded 720 thousand, while underemployed workers stood at 2.6 million.** Moreover, unemployed workers under the Social Security System or requested for unemployment benefits continued to rise to 4.4 thousand from 4.0 thousand in June. Looking ahead, the recovery of the labor market would be highly uncertain due to various risk factors, particularly the gradual phasing out of government relief measures and uncertainty pertaining

Chart 1 The number of unemployed workers had almost doubled and that of underemployed workers had been at the historical high during the city lockdown (Q2/2020) before the figure decreased somewhat following the gradual re-opening of the cities.

The number of underemployed workers (working less than 4 hours per day) and unemployed workers



Source: Social Security Office, calculated by Bank of Thailand

[5/] The Bank of Thailand defines "underemployed" workers as employed workers working less than 4 hours per day.

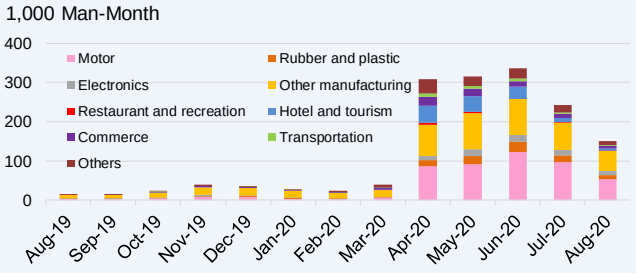
to the second wave of the outbreak. The number of unemployed and underemployed workers was thus expected to remain high.

Therefore, expediting job creation, both full-time and part-time jobs, was considered key measures in the short run to support unemployed and underemployed workers. Government should accelerate job creation to be sufficient in all areas, especially public work that would lead to local development and wealth distribution to the region. Part-time job creation should also be promoted in tandem with skill development for underemployed workers in order to offer second jobs and additional source of income. In addition, government may consider extending the benefits for unemployed workers under the Social Security System for longer than the normal standard of 6 months, while taking this opportunity to link the benefits providing to unemployed workers with requirements for these workers to engage in skills development. This would ensure that these workers would be able to live, adjust, and find new jobs.

Fact No.2 The impact was uneven across different economic sectors, where sectors heavily relying on external sector experienced severe impact from the COVID-19. This was particularly seen in, first, hotel and tourism sector, as reflected by the number of temporary suspension of businesses under section 75[6/] in April that accelerated 35 times from that of March (Chart 2). This resulted in considerable work hour losses, while workers that did not lose job were underemployed. Thus, overall income declined 29 percent and 33.6 percent in June and August, respectively, relative to March. Looking ahead, workers in the hotel and tourism sectors could face high risk of earning less or losing jobs if the second wave of the outbreak were to occur and consequently affected the policy to reopen the country for foreign tourists. Second, workers in the **auto and auto parts sectors** were also heavily affected by the temporary suspension of businesses. Work hour losses in April accelerated by 14 times those of March (Chart 2). Despite some moderation, the figure was still high at 9 times of March due to falling demand both domestically and abroad.

Chart 2 The temporary suspension of businesses in auto and auto parts sectors decreased somewhat, yet was still high at 9 times of March 2020.

The number of working hour missing due to the temporary suspension of business (Section 75)



Note: (1) Index has a unit of man-month which is calculated by number of workers X (number of missing working days in a month/ number of days in a month)
(2) The Section 75 number is calculated by summarizing firms and employees reported to the Ministry of Labor for the temporary suspension of business.

Source: Department of Labor Protection and Welfare, calculated by Bank of Thailand

For economic sectors facing high impacts, **government would consider introducing incentive measures, including co-payment measure, for businesses with potential to sustain employment for workers in these economic sectors.** The co-payment measure would ensure employment of these workers as well as employment of the newly graduates. This would help preserve the skills of workers, support workers and businesses with potential to survive, and maintain productivity a country's competitiveness.

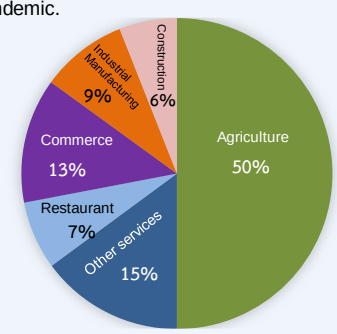
6/ Section 75 of the Labor Protection Act states that when it is necessary for an employer, for whatever cause other than a force majeure, to temporary suspend business in whole or in part, the employer shall pay wages to an employee in amount of not less than seventy-five percent of wages received by the employee before the suspension of business for the entire period which the employer does not require the employee to work.

Fact No.3 More than 1 million workers returned to their domiciles and had not yet returned since the city lockdown. This group of workers used to work in the city or industrial and tourism areas, such as Bangkok Metropolitan and its vicinity, Chonburi and Phuket. When these workers returned to their domiciles, although some of them managed to get new jobs in the areas, such jobs were rather concentrated in sectors with low productivity and wages including agricultural sector. (Chart 3) On the contrary, workers unable to find new jobs would exacerbate unemployment and underemployment problem already occurred in the areas, especially in Nakhon Ratchasima and Nakhon Si Thammarat (dark blue shaded area, Chart 4[7/])

Therefore, government should take this opportunity to design area-based policies which includes skill development measures consistent with economic activities in each area. If workers returned to their domiciles and largely went to the agricultural sector, government should thus promote development of skills, such as smart farmer to upgrade skills for farmers.

Chart 3 Some workers got employed locally but concentrated in sectors with low productivity and wages including agricultural sector.

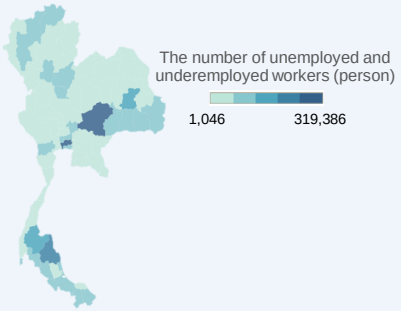
Share of each economic sector in absorbing workers since the COVID-19 pandemic.



Source: National Statistical Office, calculated by Bank of Thailand

Chart 4 Top two provinces with the highest unemployment were Nakhon Ratchasima and Nakhon Si Thammarat.

The number of unemployed and underemployed workers in August 2020 in each province (not including workers moving into the new areas).



Note: Workers moving to the new areas were not included into the sample because they are not the sample group originally from that area.

Source: National Statistical Office, calculated by Bank of Thailand

In addition to expediting job and income creation, the government's skill development measures was another important issue necessarily to be implemented simultaneously. This was on account of structural change in the post-COVID environment. Moreover, although the economy would be fully recovered, employment pattern was expected to change from the pre-COVID-19 period. Hence, skills development will require mechanism for cooperation between the public and private sectors, as well as appropriate design of incentive measures. This includes, for example, subsidizing the upskill and reskill of workers that would be demanded in the future and suitable with particular group of workers such as digital skills, geriatric nursing skills. This would enhance opportunity to get new jobs and earn higher income.

In conclusion, the Thai labor market has obviously become more vulnerable during the COVID-19 crisis and has recovered somewhat after the city re-opening. However, the labor market is expected remain vulnerable due to the gradual phasing out of government relief measures and uncertainty pertaining to the second wave of the outbreak both domestically and abroad. **Thus, sufficient job creation and appropriate skills development measures will be vital to support adjustment of Thai labor amid rising uncertainties**. This would also help the economy to sustainably recover in line with the changing global context in the post-COVID environment that would never be the same again.

[7/] The number of unemployed and underemployed workers by province in August 2020 was not include workers moving into the new areas as this would be sample group originally from the area.

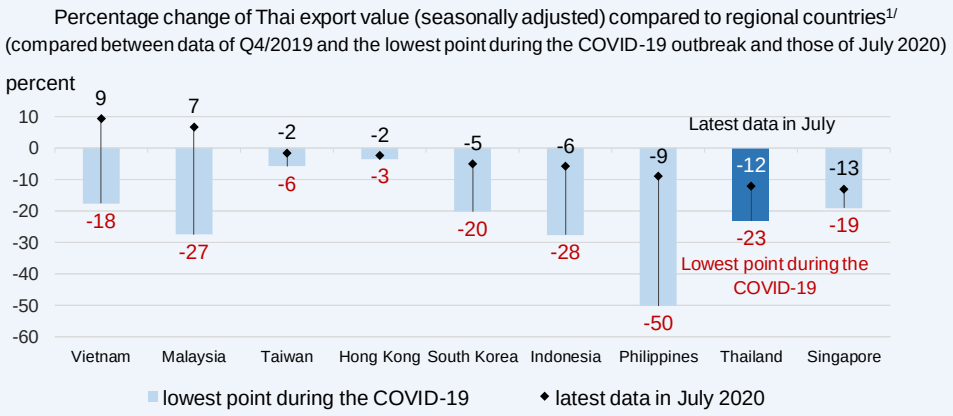
The post-COVID-19 recovery of Thai exports under structural constraints

In the recent periods, COVID-19 had severe and broad-based impacts on the global economy as well as international trade. While exports of many countries including Thailand have already bottomed out, the recovery remained uneven. **The recovery of Thai exports was still slower than that of regional countries, as the structure of Thai exports was concentrated in the product segments and the markets that were slow to recover. Moreover, Thailand's participation in the global supply chain has declined.** These thus had implications on the competitiveness of Thai exports in the long term.

Thai exports faced a slow recovery and remained at a lower level compared to other regional countries

Exports of regional countries and Thailand contracted sharply in the second quarter of 2020. In May, Thai exports shrank by 23 percent compared to the fourth quarter of 2019 (Chart 1, shaded blue). **While Thai exports had already recovered by around 50 percent from the bottom and registered a 12 percent contraction in July compared to the fourth quarter of 2020. Moreover, they remained much lower than the pre-pandemic level compared to most countries in the region.**

Chart 1 Thai exports in July 2020 remained below the pre-pandemic level compared to regional countries.



Note: 1/ Thailand's export value did not include gold export while those of Singapore and Hong Kong did not include re-export value.

The structure of Thai exports was concentrated in the product segments and the markets that face a slow recovery

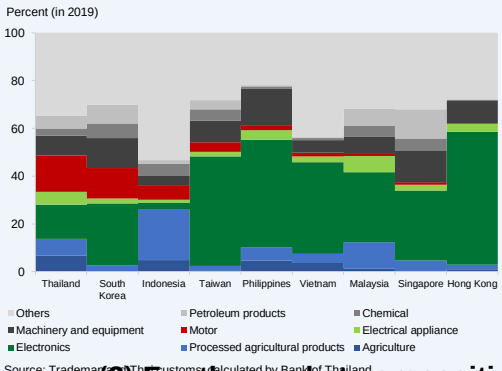
Thai exports faced a slower recovery compared to other regional countries, due to the following reasons **(1) the product composition of Thai exports consisted of a relatively larger share of slow recovery products such as automotive, machineries and equipment compared to other countries in the region.** (Chart 2, shaded red). As they were high-value products, their demand declined in line with a collapse in global demand because of the COVID-19 pandemic. Exports of automotive contracted by 21 percent compared to the fourth quarter of 2019 – worse than other product categories and regional countries (Chart 3)[8/]. Meanwhile,

[8/] Calculated from the average value of exports during January and July 2020, compared to the fourth quarter of 2019. This should cover the periods when each product category was impacted and exhibited different recovery patterns. Thai exports of automotive registered the second highest level of contraction among 6 countries.

Thailand had lower proportion of products with fast recovery than other regional countries, particularly electronics and electrical appliances (Chart 2, shaded green) whose demand surged during the transition period into new-normal environment. Thai exports in this category contracted by only 5 percent (Chart 3), which was lower than other categories. Overall, however, Thailand did not benefit much from the recovery of electronics and electrical appliances.

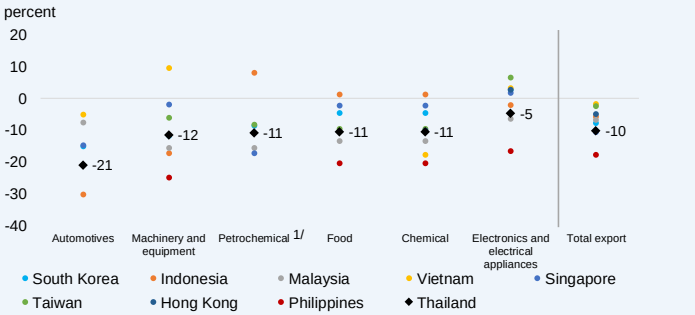
Chart 2 The product composition of Thai exports consisted of a relatively larger share of slow recovery products such as automotive, machineries and equipment and a relatively smaller share of electronics compared to other countries in the region.

Share of export products compared to other regional countries.



Source: Trademap and Thai customs, calculated by Bank of Thailand

Chart 3 Average Thai export value in 2020 contracted from the pre-COVID level more than other regional countries due to a worse contraction in exports of automotive than other product categories and regional countries.

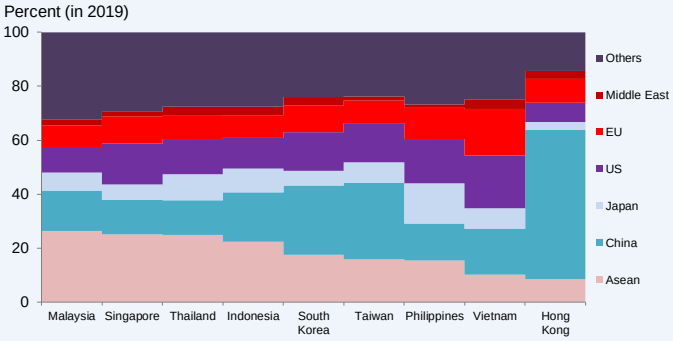


Note: 1/ Food included rice, fruits, sugar and canned food.
Source: CEIC and Thai customs, calculated by Bank of Thailand

(2) For the market composition, a share of Thai exports to ASEAN was rather larger while share of those to China was smaller compared to other regional countries (Chart 4). ASEAN countries were affected by strict containment measure, imposing in some countries and slow recovery of global trade and tourism sector as they had high reliance on external demand. Meanwhile, domestic demand in China recovered fast and their purchasing power remained solid owing to a relaxation of containment measures and the stimulus measures. As a result, Thailand benefited less from the recovering Chinese economy compared to regional countries.

Chart 4 The market composition of Thai exports relied more on ASEAN markets but less on the Chinese market, compared to regional countries.

Share of Thai export markets compared to other regional countries.



Note: Singapore's export value did not include the re-export value.
Source: Trademap and Thai customs, calculated by Bank of Thailand

Thailand's declining participation in the global supply chain

Another reason why Thai exports recovered more slowly than other regional countries was because Thailand's competitiveness lagged behind our competitors, as reflected in declining level of participation in the global value chain in many industries. This was in the opposite direction to our key competitors, particularly Vietnam which received an average of 15 billion U.S. dollars per year in foreign direct investment (FDI) during the past 10 years (average 7.2 percent of GDP), and the trend is increasing. Meanwhile, Thailand received an average of 3.6 billion U.S. dollars per year in FDI (average 0.9 percent of GDP). This partly explained why Vietnam's value of exports surpassed that of Thailand for the first time in 2019.

Such trend reflected the fact that Vietnam was a more attractive investment destination than Thailand in many ways (Chart 5), namely its market size and growth

potential, labor costs, quality of labor, political stability[9/], and the level of ICT adoption[10/]. Moreover, Vietnam signed free trade agreements (FTA)[11/] with three times as many countries as Thailand did, resulting in Vietnamese firms having a competitive advantage over Thai firms. This was because they can export to several countries at almost zero tariff due to the relaxation or exemption of imports tariffs (Chart 6). Moreover, Vietnam can take advantage of the rules of origin[12/], owing to their participation in multi-lateral FTA which resulted in more products being qualified for tax purposes according to the FTA.

The fact that Thailand remained lagged behind regional countries in terms of international trade agreements and technology adoption posed significant risk to its participation in the global supply chain. Multinational companies were currently in the process of selecting their production base or adjusting their supply chain to suit the post-COVID environment. The trend of regionalization has become more apparent, as well as the use of technology to increase resilience in cross-country production allocation in order to prevent supply chain disruptions that could arise due to uncertainties in the future.

In summary, the recovery of Thai exports remained slow and at a lower level than regional countries, with the risk of declining participation in the global supply chain in the long term. **Boosting the competitiveness of Thai exports was therefore of critical importance at this juncture, both by expediting the negotiations of trade agreements, especially the multilateral agreements, improving necessary infrastructure, and ensuring technology adoption particularly for SMEs. Moreover, both business models and products should be adjusted to suit the post-COVID environment, in order to increase participation in the global supply chain and enhance competitiveness of Thai exports sector in the future.**

[9/] According to JETRO's survey in 2019.

[10/] Competitiveness Index, World Economic Forum (WEF) in 2019.

[11/] Currently, Vietnam has 12 FTAs, covering 52 countries, while Thailand has 13 FTAs covering only 18 countries.

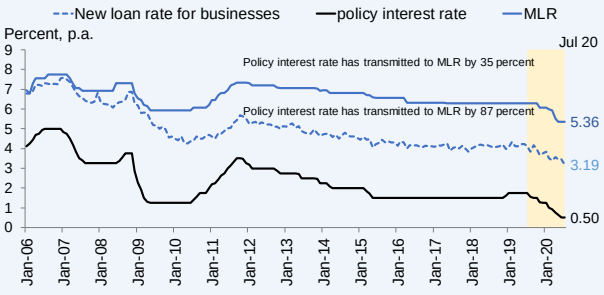
[12/] Rules of origin referred to the nationality of the product based on its origin of production, and calculated from the value add which was generated from that origin. Therefore, multilateral agreements were favorable as they allowed for the accumulation of such value add among member countries – resulting in higher benefits from the relaxation or exemption of tariffs than bilateral agreements.

New Loan Rate: the real costs of borrowing for businesses

The Bank of Thailand (BOT) has been monitoring the transmission of the policy rate cut, as well as financial measures implemented by the public sector on costs of borrowing in various markets, particularly credit market, which is major external sources of funds for the Thai businesses. However, monitoring costs of borrowing by looking at the reference loan rates announced by commercial banks, including minimum loan rate (MLR), may not reflect the real costs of borrowing faced by businesses when they request for new loans. This is as costs of borrowing vary with risk of businesses, loan duration, or loan type.

The BOT therefore developed data on new loan rates (NLR) for businesses, by calculating the actual loan rates charged by commercial banks weighted by contract size requested by businesses for new loans. The data suggest that **first, the actual costs of borrowing for businesses were, on average, lower than reference loan rates announced by commercial banks. Second, change in the policy rate highly transmitted to NLR for businesses** by 87 percent compared with 35 percent transmission to MLR (Chart 1). **Third, actual costs of new borrowing for businesses continued to decline across all contract sizes.** This was consistent with the policy rate cuts from 1.75 percent since mid-2019 to 0.50 percent since May 20, 2020, the historically lowest level, and the announcement to cut the contribution to Financial Institutions Development Fund (FIDF) from 0.46 to 0.23 percent of the deposit base for two years until end of 2021. **Fourth, NLR for businesses with contract size less than 100 million baht clearly declined following the implementation of government soft loan program, reflecting the effectiveness of government credit relief measures in reducing costs of new borrowing for businesses.** (Chart 2)

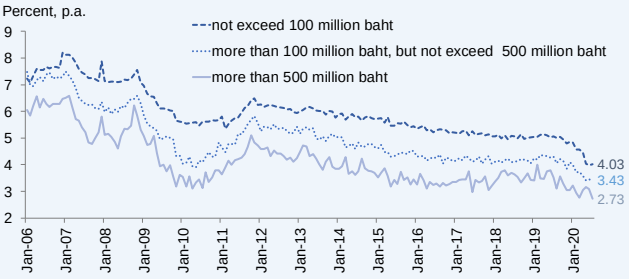
Chart 1 The new loan rates continued to gradually decline.



Note: transmission of monetary policy can be captured through β in the equation $commercial\ bank\ rate_t = \alpha + \beta RP_t + \varepsilon_t$ by using data from 2004 to present

Source: Bank of Thailand

Chart 2 NLR for businesses with contract size less than 100 million baht clearly declined following the implementation of government soft loan program.



Source: Bank of Thailand

In conclusion, NLR for businesses reflected the actual costs of new borrowing, which is thus a good indicator to monitor financial conditions. The BOT has published data on NLR for businesses by contract amount[13/] to provide businesses with additional information to support decision-making when applying for new loans in addition to considering reference loan rates currently published by commercial banks.

13/ As published in table FM_RT_001_S2 Interest Rates in Financial Markets (2005 – Present)

3. Monetary Policy Decision

The MPC maintained the policy rate at 0.50 percent and viewed that a further decrease in the policy rate would be not be highly effective. Instead, the Committee deemed it necessary to enhance the effectiveness of the financial and credit measures of the government.

At the meetings on August 5 and September 23, 2020, the Committee voted unanimously to maintain the policy rate at 0.50 percent. The Committee assessed that the Thai economy was expected to gradually recover in line with the relaxation of COVID-19 containment measures both in Thailand and abroad. However, the Thai economic recovery would take at least two years before returning to the pre-pandemic level. Moreover, it remained subject to the risk of the second wave of the outbreak, which further weighed on the stability of the financial system. Headline inflation was projected to be less negative in 2020 than previously assessed and would gradually rise toward a level close to the lower bound of the target in 2021. The Committee viewed that the extra accommodative monetary policy since the beginning of the year as well as fiscal, financial, and credit measures additionally announced helped alleviate adverse impacts, and would support the economic recovery after the pandemic subsided, facilitate the return of inflation toward the target and reduce financial stability risks. In addition, a further decrease in the policy rate would be less effective in the current context and could increase vulnerabilities in the financial system. The Committee therefore agreed to preserve the limited policy space for the appropriate and most effective timing. Besides, the Committee deemed it necessary to encourage financial institutions to expedite debt restructuring for households and businesses to have widespread impacts and accelerate lending under various measures to address liquidity problems in a targeted and timely manner consistent with business restructuring.

In determining the appropriate course of monetary policy, details on the key assessment are as follows.

The Thai economic recovery would take at least two years before returning to the pre-pandemic level. The recovery would be highly uncertain due to both domestic and external factors, and therefore could weigh on the stability of the financial system.

The Thai economy was expected to gradually recover in line with the relaxation of COVID-19 containment measures both in Thailand and abroad, while the Thai financial system remained highly vulnerable. Moreover, the recovery would take at least two years before returning to the pre-pandemic level, partly due to the structural constraints of Thai export sector, namely (1) Thai exports comprised a large share of automotive, machineries and equipment which were sensitive to a decline in global purchasing power. Meanwhile, the proportion of electronic products that recovered quickly due to higher demand for technology products during the transition period into a new way of life, was low, and (2) the export destinations were concentrated in countries which experienced a slow recovery, for example ASEAN economies. Moreover, the competitiveness of Thai exports has declined as Thailand signed fewer trade agreements than the competitors (**BOX***: The post-COVID-19 recovery of Thai exports under structural constraints* in Chapter 2)

The Thai economic recovery would remain highly uncertain, owing to (1) a possible delay in the recovery of the tourism sector, if there was the second wave of the

outbreak in many countries including Thailand. This would erode the confidence and discourage international travel. Moreover, there were uncertainties regarding the re-opening policy of the country to foreign tourists, and **(2) the continuity of the economic recovery of Thailand's trading partners** could be interrupted after the fiscal support gradually phased out and the effect of pent-up demand dissipated. Moreover, the second wave of the outbreak could lead to more stringent containment measures, while the global financial system remained vulnerable as a result of rising default risks of corporate bonds or credit rating downgrades of government bonds. Overall, **these factors could increase vulnerabilities in the financial system** and weigh on financial positions of households and businesses, as well as their debt servicing abilities.

The recovery would be greatly uneven among economic sectors, regions, and firms in different segments. Government policies should therefore be continuous and implemented in a targeted and timely manner to facilitate appropriate adjustments. At the same time, measures should also be coherent and consistent among government agencies.

The Committee viewed that the Thai economic recovery would be uneven in several dimensions, for example (1) **economic sectors:** firms in the service sector and tourism-related sector would not fully recover as they were highly reliant on external demand, compared to domestic-oriented sectors which would recover more quickly (2) **area-based:** for instance, hotels located in the provinces near Bangkok would be able to attract more tourists than provinces further away and (3) **size of firms:** firms within the same sector would recover at a different pace, for example, medium and large hotels were more likely to benefit from the government's measure to promote tourism, as they were equipped with more facilities and varieties of activities, and therefore were more attractive to domestic tourists. Government therefore should implement measures in a continuous, targeted, and timely manner to facilitate appropriate transition into the post-COVID environment. At the same time, measures should also be coherent and consistent among government agencies.

Going forward, fiscal and supply-side policies should be given a greater role in order to address excess production capacity, as well as support the changing economic structure, patterns of business operations, and labor skill development consistent with the post-COVID environment. Moreover, government agencies should collaborate to push through additional supply-side measures in order to revive the economy. In particular, the re-opening of the country to foreign tourists would have important implications on the recovery path, and therefore the government should consider appropriate policy trade-off, considering both the economic and healthcare dimensions. Meanwhile, the continued accommodative monetary policy would complement fiscal policy through low costs of borrowing and ample liquidity in the financial markets.

Going forward, financial and credit measures by the government should focus on (1) ensuring that liquidity was distributed to businesses and households in a broad-based manner, by accelerate lending under various measures to address liquidity problems in a targeted and timely manner consistent with business restructuring. Meanwhile, the government has revised the credit measures previously announced to make them more targeted and also announced additional credit guarantee measures to enhance the effectiveness of the BOT soft loan program, **(2) encouraging financial institutions to expedite debt restructuring for retail borrowers and SMEs**, to be consistent with their income streams and debt serviceabilities

in the post-COVID environment. Recently, the BOT had launched the DR BIZ program as well as additional measures for retail borrowers, namely the debt consolidation measure in order to assist both businesses and households that had potential but were affected by the economic conditions and had multiple creditors and many debt categories (**BOX**: *Additional financial and credit measures by the government*), and **(3) Increasing operating cashflows and loan access for SMEs**, for example, by setting a standard credit term that allowed SMEs to receive faster payments from their counterparties. Moreover, digital lending and digital factoring should be encouraged to provide households and SMEs which cannot access loans from financial institutions an easier access to liquidity.

The Committee expressed concerns over highly fragile labor markets and viewed that labor policies in the period ahead should be more targeted and take into account differences within each economic sector, variations in recovery as well as obstacles to adjustments in each area.

The Committee viewed that although the labor market has improved following the relaxation of containment measures, the outlook remained fragile both in terms of employment and income. Following the relaxation of containment measures, some businesses rehired their workers at a lower wage. However, a slow recovery in the exports of goods and services continued to weigh on the overall employment, leading some workers to seek jobs in the agricultural sector and become self-employed in the non-farm sector with lower wages. Going forward, the labor market would remain vulnerable due to (1) the impacts of COVID-19 which could be prolonged and lead to continued wage reduction and more widespread lay-off particularly in the services sector (2) the effects of the government measures regarding income support and economic recovery would gradually wane by the end of the year, leading to the fragile labor market (3) the agricultural sector would not be able to absorb a large number of workers during the first half of 2021 which was off the planting season, and (4) some workers would face difficulties in returning to the labor market even after the pandemic subsided, especially those in recently-graduated, old-aged, and unskilled groups. This was because businesses had high level of excess capacity and thus adjusted by increasingly adopting digital technology and automation in the production process. This would result in economic scars on the long-term potential economic growth. Therefore, **labor policies in the period ahead will be very important and should be more targeted, as well as taking into account the differences in each economic sector and area with different obstacles to recovery**. Meanwhile, the government should also implement labor skill development policy in order to create employment in target industries, adjust to the post-COVID environment, and support firms in retaining employment (**BOX**: *Investigating Thai labor market…how well it recovered after the city re-opening?*)

The Committee would stand ready to use additional appropriate policy tools if necessary.

Looking ahead, the Committee would monitor developments of economic growth, inflation, and financial stability, together with associated risks, including external risks, the impacts of the COVID-19 pandemic, and the effectiveness of fiscal, financial, and credit measures, as well as the baht situation which might affect the economic recovery in deliberating monetary policy going forward. The Committee would stand ready to use additional appropriate policy tools if necessary.

Additional public financial and credit measures

1. Additional measures to enhance the effectiveness of the BOT's soft loan program
(totaled 57,000 million baht), announced on August 15, 2020.

General SMEs

Special Credit Guarantee Facilities Program callled "PGS Soft Loan Plus"

Thai Credit Guarantee Corporation (TCG) provides credit guarantees for qualified SMEs according to the BOT's Soft Loan scheme,[2] but has not yet received loan under this Emergency Decree

- This credit guarantee facility will be started from **the third year** onward after being granted the soft loan with the maximum guarantee period of 8 years. (**During the first two years,** the loan would be guaranteed as stated by the Emergency Decree)
- Credit guarantee fee is 1.75 percent per year
- Maximum claims throughout the program will not exceed 30 percent of portfolio.

2. Revise framework of new credit measures previously announced to be more targeted
(totaled 57,100 million baht) announced on August 18, 2020.

General SMEs

Soft loan scheme for general SMEs funded by the Government Saving Bank (GSB)

(totaled 10,000 million baht)

Allow the GSB to provide new loans **directly** to general SMEs or through the financial institutions which was the only lending channel prior.

8th phase of Portfolio Guarantee Scheme (PGS8)

(totaled 10,000 million baht)

Expanded the list of eligible SMEs, allowing the TCG to provide credit guarantee for **general SMEs**. From previously, this guarantee scheme covered only those who either had never applied for loans from financial institutions or had no debt outstanding with financial institutions as of December 31, 2019.

SMEs affected by the COVID-19

Soft loans scheme for tourism-related SMEs by the GSB (totaled 10,000 million baht)

Revised the list of eligible SMEs, allowing, the GSB to extend new loans through financial institutions to SMEs in tourism-related businesses by using remaining amount after lending to non-bank financial institutions.

Loan scheme to support the recovery of tourism industry
(totaled 5,000 million baht)

Revised the list of eligible SMEs, allowing the GSB to extend new loans to **SMEs in tourism-related businesses**. From previously, this scheme was limited to those with regular incomes, affected from the COVID-19.

Extra Cash Loan scheme (totaled 9,600 million baht)

Expanded the list of eligible SMEs, allowing the SME Bank to extend new loans to **SMEs (both individuals and juristic persons) directly and indirectly** affected from the COVID-19. From previously, the scheme was limited only to juristic persons in tourism sector.

Retail SMEs and public

Grass-root Empowering Loan

(totaled 10,000 million baht)

Extended the list of eligible entities, allowing the GSB to extend new loans to **SMEs, freelancers, individuals with regular incomes and individual affected from the COVID19**. From previously, it was only limited to individuals with regular incomes affected by the COVID-19.

Micro 3 scheme

(totaled 2,500 million baht)

Extended the period of TCG's loan guarantee program for micro-entrepreneurs from December 30, 2020 to July 23, 2020.

3. BOT's debt-restructuring measures

Business-sector borrowers

The DR BIZ program
Announced on August 21st, 2020

Target groups:

(1) Multi-creditors businesses
(2) Businesses are normal debtors (not classified as NPL) or NPL with some financial institutions as of January 1, 2019 and prove that they have been affected by the economic situation and COVID-19.
(3) Businesses must not be prosecuted in court except their creditors withdraw the legal charges.

Benefits:

Resolve the problems of existing debt by lessening the debt burdens and reducing time spent contacting multiple creditors.

- Lower installment payment, extend the repayment period and adjust the repayment plan
- Grant a grace period and appropriate repayment plan
- Review the remaining credit limit in accordance with debtors' ability to repay debt

Provide additional financing to businesses with good potential.

Retail borrowers

Debt restructuring for retail borrowers through debt consolidation
Announced on August 27th, 2020

Target group:

Retail debtors who have mortgage and retail loan without collateral which are under supervision with the same bank.



Housing loans:
interest rate shall not be increased.

Other retail loans:
interest rate charged is not exceeding MRR.

Benefits:

Will not impair credit history, lessen debt burdens, no additional expenses, able to use the remaining credit lines

1 The Cabinet resolution on August 18th, 2020 in the topic of review of cabinet resolutions and additional assistance measures for SMEs
2 The Emergency Decree on the Provision of Financial Assistance for Entrepreneurs Affected by COVID-19 Pandemic, B.E. 2563 (2020), effective on April 18th, 2020
3 The BOT's press release No. 52/2020 in the topic of The Bank of Thailand together with financial institutions announce the launch of DR BIZ program
4 The BOT's press release No. 55/2020 in the topic of additional assistance measures for retail borrowers by taking debt consolidation

4. Appendix

4.1 Table

Thai Economy Dashboard

Percent	2018	2019	2019				2020	
			Q1	Q2	Q3	Q4	Q1	Q2
GDP growth	4.2	2.4	2.9	2.4	2.6	1.5	-2.0	-12.2
Production								
Agriculture	5.5	-0.2	1.7	-1.4	2.7	-2.5	-9.8	-3.2
Non-agriculture	4.0	2.6	3.0	2.8	2.5	2.0	-1.3	-12.9
Manufacturing	3.2	-0.7	0.2	0.1	-0.8	-2.2	-2.6	-14.4
Construction	2.4	1.9	3.0	3.4	2.7	-2.1	-9.9	7.4
Wholesales and retail trade	6.6	5.7	6.7	5.5	5.3	5.2	4.8	-9.8
Transport and storage	4.4	3.4	3.7	3.0	3.1	3.9	-6.0	-38.9
Accommodation and Food Service	7.6	5.5	5.0	3.6	6.7	6.8	-23.3	-50.2
Information and Communication	7.6	8.8	7.1	8.8	8.2	10.6	3.2	1.7
Financial intermediation	3.4	2.7	2.0	1.8	3.8	3.4	4.5	1.7
Real estate and renting	5.7	3.3	5.0	3.3	2.2	2.7	1.7	0.4
Expenditure								
Domestic demand	4.0	3.3	4.1	3.4	3.4	2.3	-0.7	-5.5
Private consumption	4.6	4.5	4.8	4.7	4.3	4.1	2.7	-6.6
Private investment	4.1	2.8	4.3	2.1	2.3	2.6	-5.4	-15.0
Government consumption	2.6	1.4	3.5	1.5	1.7	-0.9	-2.8	1.4
Public investment	2.9	0.2	0.0	1.5	3.7	-5.1	-9.3	12.5
Imports of goods and services	8.3	-4.4	0.1	-3.4	-5.9	-7.9	-3.1	-23.3
imports of goods	7.9	-5.5	-2.8	-3.7	-6.8	-8.6	-0.3	-19.3
imports of services	9.9	0.5	13.0	-2.1	-2.1	-5.3	-13.0	-37.9
Exports of goods and services	3.3	-2.6	-3.5	-4.0	0.6	-3.4	-7.3	-28.3
exports of goods	3.8	-3.6	-4.4	-4.6	-0.1	-5.1	2.0	-15.9
exports of services	2.0	0.5	-1.1	-1.7	3.2	1.7	-32.2	-70.4
Trade balance (billion, U.S. dollars)	22.4	26.7	6.7	6.0	8.1	6.0	8.0	8.0
Current account (billion, U.S. dollars)	28.4	37.0	12.2	4.5	10.2	10.1	8.9	0.7
Financial account (billion, U.S. dollars)	-13.2	-15.7	-6.2	-2.4	-1.6	-5.5	-8.4	10.1
International reserves (billion, U.S. dollars)	205.6	224.3	212.2	215.8	220.5	224.3	226.5	241.6
Unemployment rate (%)	1.1	1.1	0.9	1.0	1.0	1.0	1.0	2.0
Unemployment rate, seasonally-adjusted (%)	n.a.	n.a.	0.9	0.9	1.0	1.0	1.0	1.9

Source: Office of the National Economic and Social Development Board National Statistical Office and Bank of Thailand

Financial Stability Dashboard

Indicators	2018	2019	2019				2020			
			Q1	Q2	Q3	Q4	Q1	Q2	Jul	Aug
1. Financial market sector										
Bond market										
Bond spread (10 years - 2 years)	0.7	0.3	0.7	0.4	0.1	0.3	0.6	0.8	0.8	1.0
Equity market										
SET index (end of period)	1,563.9	1,590.6	1,638.7	1,730.3	1,637.2	1,579.8	1,125.9	1,339.0	1,328.5	1,310.7
Actual volatility of SET index[1/]	12.1	10.0	8.4	7.8	8.3	10.1	47.4	25.2	15.3	13.2
Price to Earnings ratio (P/E ratio) (times)	14.8	19.4	17.1	18.6	18.7	19.4	13.1	18.9	19.1	22.5
Exchange rate market										
Actual volatility of Thai baht (%annualized)[2/]	4.6	4.1	4.6	4.5	4.6	2.7	5.5	5.5	5.1	5.5
Nominal Effective Exchange Rate (NEER)	115.6	123.2	119.9	120.8	125.0	126.8	122.4	122.5	122.5	122.2
Real Effective Exchange Rate (REER)	107.2	112.8	110.1	111.3	114.6	115.3	111.1	108.7	110.3	110.2
2. Financial institution sector[3/]										
Minimum Lending Rate (MLR)[4/]	6.28	6.08	6.28	6.28	6.28	6.08	5.93	5.36	5.36	5.36
12-month fixed deposit rate[4/]	1.37	1.33	1.42	1.46	1.45	1.33	0.75	0.49	0.49	0.49
Capital adequacy										
Capital funds / Risk-weighted asset (%)	18.3	19.3	18.2	18.0	18.9	19.3	18.4	19.2	n.a.	n.a.
Earning and profitability										
Net profit (billion, Thai baht)	207.2	270.8	57.1	60.8	96.5	56.4	52.9	31.0	n.a.	n.a.
Return on assets (ROA) (times)	1.1	1.4	1.2	1.3	2.0	1.4	1.0	0.6	n.a.	n.a.
Liquidity										
Loan to Deposit and B/E (%)	98.2	95.5	96.8	97.9	97.1	95.5	92.5	92.8	92.1	n.a.
3. Household sector										
Household debt to GDP (%)	78.4	79.5	78.4	78.4	78.9	79.9	80.1	83.8	n.a.	n.a.
Financial assets to debt (times)	2.7	2.9	2.7	2.8	2.9	2.9	2.7	n.a.	n.a.	n.a.
Non-Performing Loans (NPLs) of commercial banks (%)										
Consumer loans	2.7	2.9	2.8	2.7	2.8	2.9	3.4	3.3	3.2	3.1
Housing loans	3.2	3.7	3.4	3.3	3.5	3.7	4.1	4.1	4.0	3.9
Auto leasing	1.7	1.9	1.7	1.8	1.9	1.9	2.1	1.9	1.7	1.6
Credit cards	2.3	2.4	2.7	2.5	2.7	2.4	3.9	3.3	2.9	2.6
Other personal loans	2.5	2.3	2.6	2.4	2.4	2.3	2.8	2.6	2.4	2.3
4. Non-financial corporate sector[5/]										
Operating profit margin (OPM) (%)	7.5	6.8	7.5	5.7	7.4	6.6	6.3	4.6	n.a.	n.a.
Debt to Equity ratio (D/E ratio) (times)	0.7	0.7	0.7	0.8	0.8	0.7	0.8	0.9	n.a.	n.a.
Interest coverage ratio (ICR) (times)	6.2	4.4	5.1	3.6	4.9	4.0	3.9	2.8	n.a.	n.a.
Current ratio (times)	1.6	1.6	1.6	1.6	1.6	1.6	1.5	1.5	n.a.	n.a.
Non-Performing Loans (NPLs) of commercial banks (%)										
Large businesses	1.8	1.7	1.6	1.8	1.8	1.7	1.5	1.7	1.7	1.8
SMEs	4.8	5.0	4.7	4.8	5.1	5.0	5.2	6.5	6.5	5.7

Note:

[1/] Calculated by 'annualized standard deviation of return' method

[2/] Daily volatility (using exponentially weighted moving average method)

[3/] Based on data of all commercial banks

[4/] Average value of 5 largest Thai commercial banks

[5/] Only listed companies on Stock Exchange of Thailand (median value); with data revisions

Financial Stability Dashboard (continue)

Indicators	2018	2019	2019				2020			
			Q1	Q2	Q3	Q4	Q1	Q2	Jul	Aug
5. Real estate sector										
Number of approved mortgages from commercial banks (Bangkok and Vicinity) (units)										
Total	73,361	70,876	19,710	15,983	17,141	18,042	14,882	17,531	5,889	6,478
Single-detached and semi-detached hou	15,912	16,167	4,446	3,460	4,136	4,125	3,553	4,408	1,533	1,565
Townhouses and commercial buildings	25,042	24,763	7,290	5,719	6,129	5,625	5,314	5,559	1,955	2,040
Condominiums	32,407	1,718	7,974	6,804	6,876	8,292	6,015	7,564	2,401	2,873
Number of new housing units launched for sale (Bangkok and Vicinity) (units)										
Total	124,977	116,933	29,498	25,999	27,182	34,254	18,557	11,471	5,456	10,265
Single-detached and semi-detached hou	18,311	19,423	4,458	4,213	5,014	5,738	3,659	3,439	947	2,114
Townhouses and commercial buildings	32,349	31,423	5,236	7,940	9,322	8,925	8,100	6,038	2,547	3,530
Condominiums	74,317	66,087	19,804	13,846	12,846	19,591	6,798	1,994	1,962	4,621
Housing price index (2009 = 100)										
Single-detached houses (including land)	138.6	144.0	141.9	142.9	145.0	146.3	149.1	151.3	151.8	149.8
Townhouses (including land)	149.5	156.4	156.6	154.7	154.6	159.8	164.0	164.7	164.4	163.3
Condominiums	180.9	182.3	181.6	177.0	179.0	191.6	190.0	190.2	185.8	182.5
Land	173.6	172.8	175.5	168.1	167.1	180.6	181.6	185.1	191.3	192.1
6. Fiscal sector										
Public debt to GDP (%)	41.8	41.2	41.8	41.3	41.1	41.2	41.7			
7. External sector										
Current account balance to GDP (%)[6/]	5.6	6.8	9.1	3.4	7.5	7.1	6.6	0.6	n.a.	n.a.
External debt to GDP (%)[7/]	35.5	34.2	35.1	34.8	34.2	34.2	32.4	33.7	n.a.	n.a.
External debt (billion, U.S. dollars)	163.1	171.9	164.8	167.2	167.7	171.9	165.3	172.1	171.9	172.5
Short-term (%)	38.9	34.8	38.2	37.2	35.1	34.8	35.9	36.0	35.3	35.3
Long-term (%)	61.1	65.2	61.8	62.8	64.9	65.2	64.1	64.0	64.7	64.7
International reserves / Short-term external d	3.2	3.8	3.4	3.5	3.7	3.8	3.8	3.9	4.1	4.2

Note:

[6/] Current account / Nominal GDP at the same quarter

[7/] External debt / 3-year average nominal GDP

Table: Probability distribution of GDP growth forecast

Percent	2020		2021				2022		
	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2
> 15.0	0	0	0	0	2	1	1	1	1
12.5-15.0	0	0	0	0	5	3	3	3	3
10.0-12.5	0	0	0	0	11	7	8	8	8
7.5-10.0	0	0	0	0	16	13	14	14	14
5.0-7.5	0	0	0	0	16	16	17	17	17
2.5-5.0	0	0	0	1	14	16	16	17	17
0.0-2.5	0	0	0	4	12	14	14	14	14
(-2.5)-0.0	0	0	1	12	9	11	10	10	10
(-5.0)-(-2.5)	0	0	5	19	6	8	7	7	7
(-7.5)-(-5.0)	0	8	19	19	4	5	4	4	4
(-10.0)-(-7.5)	0	54	28	16	2	3	2	2	2
(-12.5)-(-10.0)	100	35	23	12	1	2	1	1	1
(-15.0)-(-12.5)	0	4	14	8	1	1	1	0	0
< -15.0	0	0	10	8	0	1	0	0	0

Table: Probability distribution of headline inflation forecast

Percent	2020		2021				2022		
	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2
> 5.25	0	0	0	0	3	0	0	0	0
4.5-5.25	0	0	0	0	5	1	1	1	1
3.75-4.5	0	0	0	0	10	3	2	2	3
3.0-3.75	0	0	0	1	15	6	5	5	6
2.25-3.0	0	0	1	2	18	11	10	10	10
1.5-2.25	0	0	4	6	18	15	15	14	14
0.75-1.5	0	2	10	12	14	18	17	17	16
0.0-0.75	0	13	18	18	9	17	17	16	16
(-0.75)-0.0	0	31	23	21	5	13	14	14	13
(-1.5)-(-0.75)	0	34	21	18	2	8	9	10	10
(-2.25)-(-1.5)	0	16	13	12	1	4	5	6	6
(-3.0)-(-2.25)	100	3	6	6	0	2	2	3	3
(-3.75)-(-3.0)	0	0	2	2	0	1	1	1	2
< -3.75	0	0	1	1	0	0	0	1	1

Table: Probability distribution of core inflation forecast

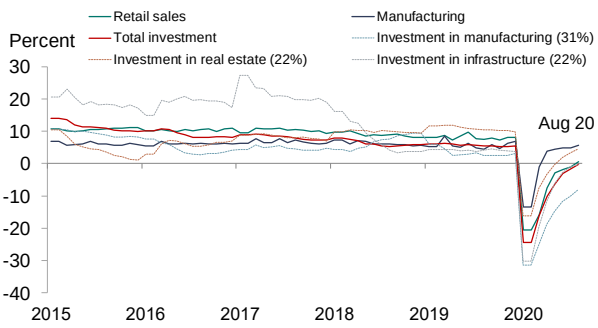
Percent	2020		2021				2022		
	Q2	Q3	Q4	Q1	Q2	Q3	Q4	Q1	Q2
> 3.0	0	0	0	0	0	0	0	0	0
2.5-3.0	0	0	0	0	1	0	0	0	1
2.0-2.5	0	0	0	0	3	2	2	2	2
1.5-2.0	0	0	1	2	7	5	5	5	6
1.0-1.5	0	3	5	7	13	10	10	11	12
0.5-1.0	0	24	19	16	18	16	16	17	17
0.0-0.5	100	46	31	24	19	19	19	19	19
(-0.5)-0.0	0	23	27	23	17	18	18	18	17
(-1.0)-(-0.5)	0	4	13	16	12	14	13	13	12
(-1.5)-(-1.0)	0	0	4	8	7	9	8	8	8
(-2.0)-(-1.5)	0	0	1	3	3	5	4	4	4
(-2.5)-(-2.0)	0	0	0	1	1	2	2	2	2
(-3.0)-(-2.5)	0	0	0	0	0	1	1	1	1
< -3.0	0	0	0	0	0	0	0	0	0

4.2 Chart pack

Global economy

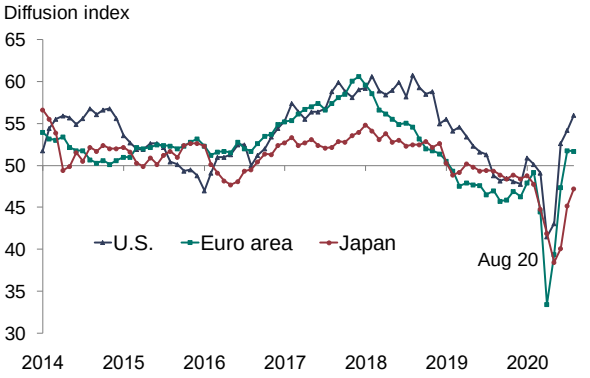
COVID-19 containment measures caused temporary disruptions to global economic activities, especially in major advanced economies and Asian economies (excluding China). However, the series of financial and fiscal measures that had been implemented so far would help alleviate the economic impact and support recovery in the coming periods.

China's economic indicators (Change from the same period last year)



Note: ( ) denotes share to total investmen
Source: CEIC

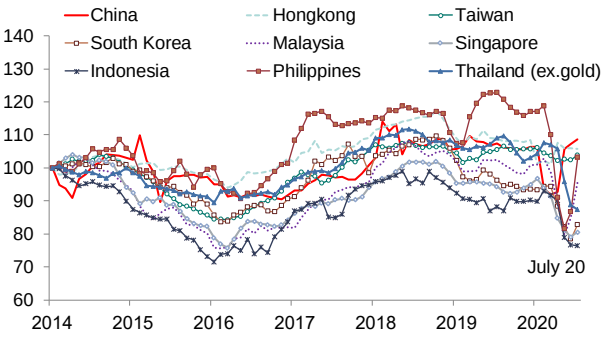
Manufacturing Purchasing Manager Index



Sources: Bloomberg and Eurostat

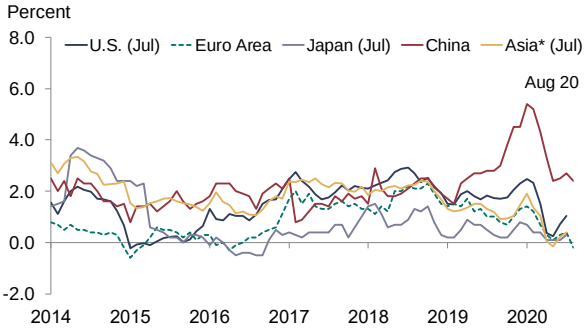
Asian exports

Export Value Index, 3-month moving average, seasonally adjusted (Jan 2014 = 100)



Source: CEIC

Headline inflation of Thailand's major trading partners

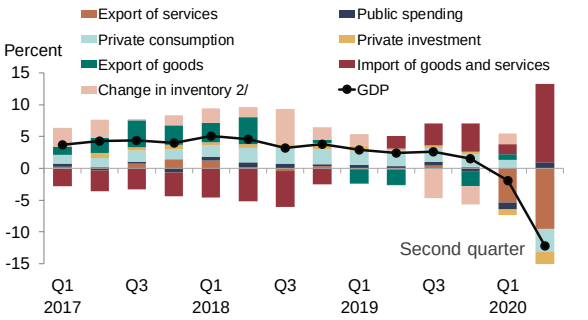


Note: *Average of headline inflation in Indonesia, South Korea, Malaysia, the Philippines, Singapore, and Taiwan
Source: CEIC

Thai economy

The Thai economy contracted sharply due to both external and domestic demand. This was due to the containment measures that led to temporary disruptions of economic activities. However, the Thai economy was projected to gradually improve from the third quarter of 2020 onward, following the relaxation of containment measures.

Contribution to Thailand's GDP growth[1/]

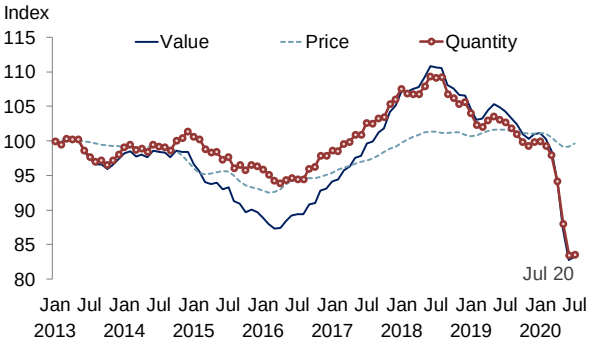


Note: [1/] Calculated by Chain Volume Measure method (CVM)
[2/] Change in inventory and statistical discrepancy

Source: Office of National Economic and Social Development Council, calculations by the Bank of Thailand

Thai exports (excluding gold): value, price and quantity

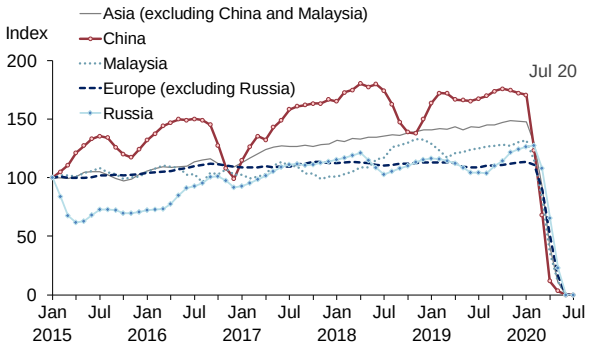
(3-month moving average, seasonally adjusted; January 2013 = 100)



Source: Customs Department and Ministry of Commerce, calculations by Bank of Thailand

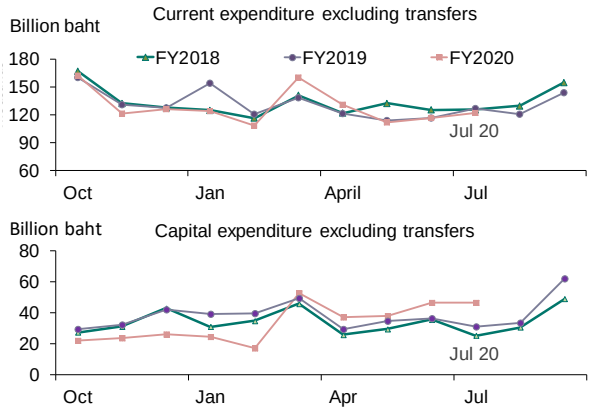
Index of foreign tourists classified by nationality

(three-month moving average, seasonally adjusted; January 2015 = 100)



Source: Department of Tourism

Public spending by central government

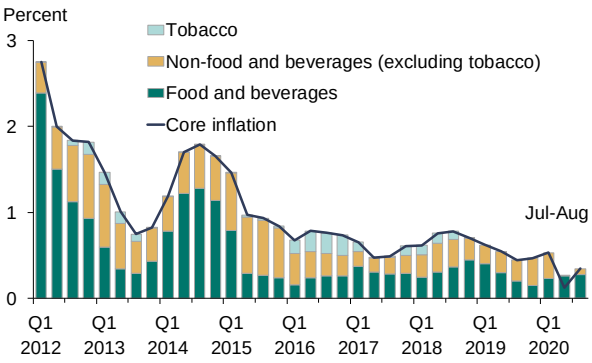


Source: Bureau of Budget, Fiscal Policy Office

Inflation

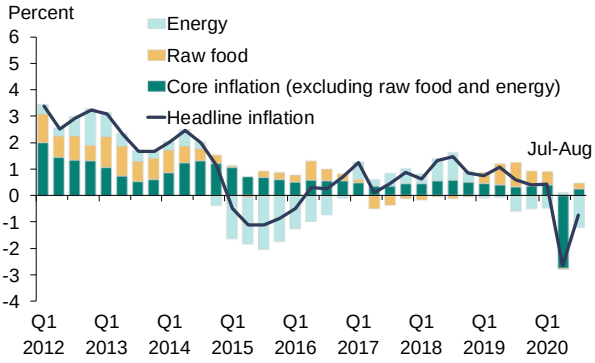
Headline inflation was less negative compared to the second quarter as a result of a gradual increase in energy prices coupled with the increases in fresh food prices, particularly meat and vegetable. Core inflation edged up after the expiration of the government's measure to ease the burden on water bills, while demand also improved following the relaxation of containment measures. Regarding inflation expectation, short-term inflation expectations declined slightly while long-term expectations remained within the monetary policy target.

Contribution to core inflation



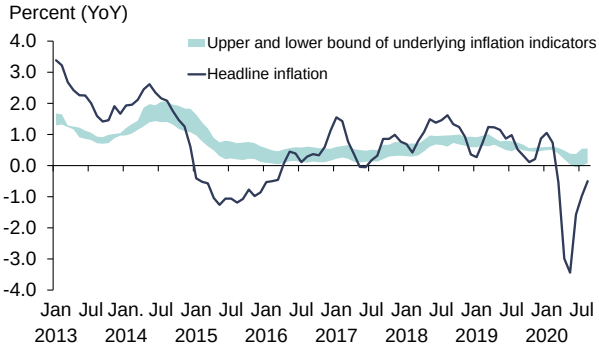
Source: Bureau of Trade and Economic Indices, Ministry of Commerce, calculations by Bank of Thailand

Contribution to headline inflation



Source: Bureau of Trade and Economic Indices, Ministry of Commerce, calculations by Bank of Thailand

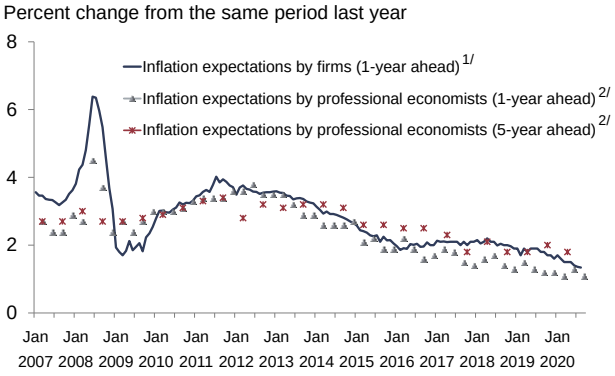
Underlying inflation indicators



Note: The field shows the highest and lowest outcomes among different measures of underlying inflation. The measures included 1. **Trimmed mean** (excludes goods and services with most volatile price changes, removing the bottom 15 percentile and the top 10 percentile), 2. **Principal component model** (calculates changes in common statistical components that attribute price movements across categories of goods and services) and 3. **Core inflation excluding rents and government measures.**

Source: Bureau of Trade and Economic Indices, Ministry of Commerce, calculations by Bank of Thailand

Inflation expectations

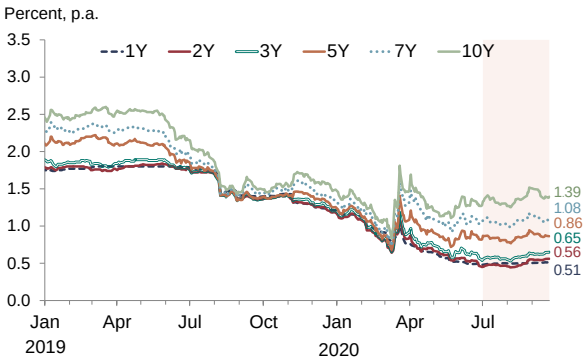


Source: 1/ Business Sentiment Survey (BSI) by the Bank of Thailand
2/ Asia Pacific Consensus Forecast

Financial conditions

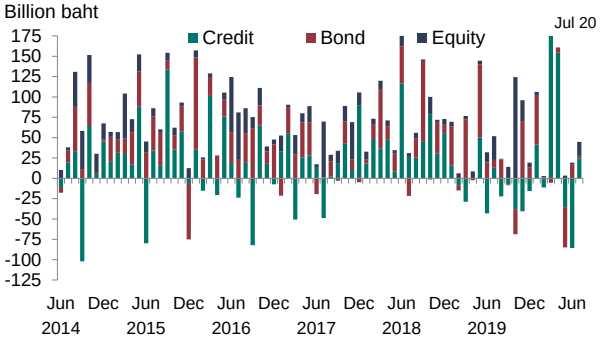
Long-term government bond yields rose as a result of both domestic and external factors. Corporate bond yields stabilized at a high level. In July 2020, private sector financing increased in all channels as compared with the previous month, especially corporate loan and equity financing. Meanwhile, corporate bond issuance increased slightly. With regard to exchange rates, the baht against the U.S. dollar and the effective exchange rate depreciated slightly in the third quarter, due to risk-off sentiments in the global financial markets and domestic factors namely political uncertainty and risks of the second wave of the outbreak.

Government bond yields



Source: Thai Bond Market Association (Thai BMA) (data as of September 22, 2020)

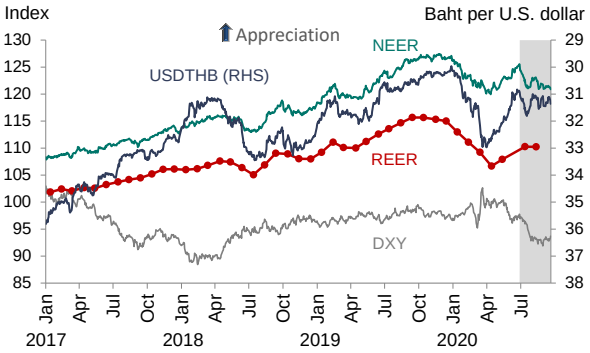
Total corporate financing by instrument*



Note: *Monthly change in outstanding of corporate loans (seasonally adjusted), corporate bonds excluding those issued by commercial banks, and newly issued equities.

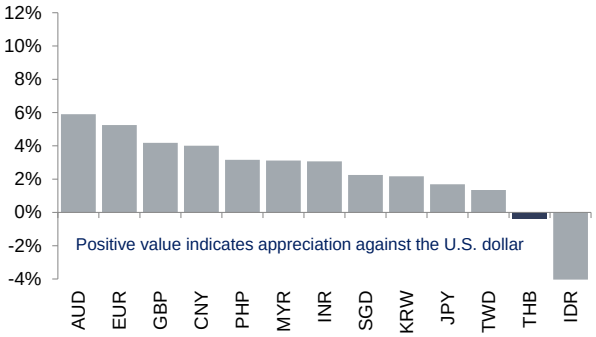
Sources: Bank of Thailand and Thai Bond Market Association (Thai BMA)

The Thai baht vis-a-vis U.S. dollar (USDTHB), Nominal Effective Exchange Rate (NEER), Real Effective Exchange Rate (REER) and the Dollar Index (DXY)



Source: Bank of Thailand and Reuters (data as of September 22, 2020)

Currency movements vis-a-vis the U.S. dollar (Avg. in September 20 compared to avg. in June 20)

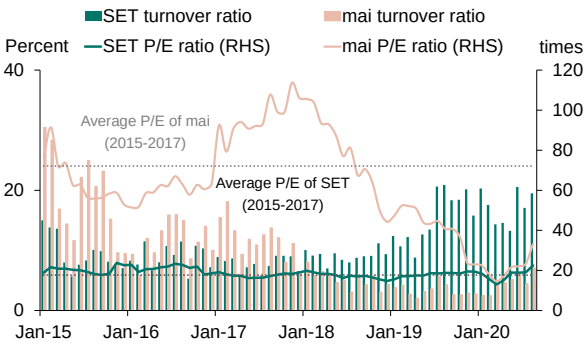


Source: Bank of Thailand and Reuters (data as of September 22, 2020)

tability: Financial markets

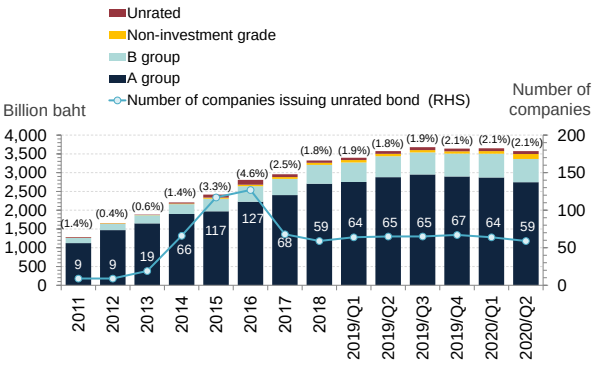
The price-to-earning (P/E) ratio of the Stock Exchange of Thailand (SET) was higher than historical average due to a significant decline in net profits. Meanwhile, new issuance of unrated bonds declined.

Current price-to-earning ratio and turnover ratio of SET and mai



Source: Stock Exchange of Thailand (as of May 2020)

Corporate bonds outstanding

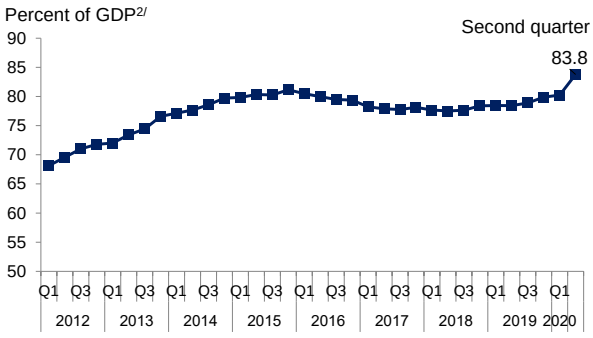


Note: ( ) represents percentage of unrated bonds to total corporate bonds
Source: Thai Bond Market Association (Thai BMA)

Stability: Household sector

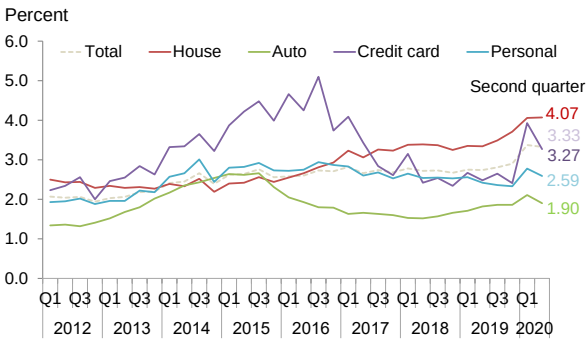
Household financial positions and debt servicing ability deteriorated, as reflected in the household debt-to-GDP ratio which rose from 80.2 percent in the first quarter to 83.8 percent in the second quarter of 2020, as well as high levels of NPL. However, proactive debt restructuring would help mitigate the deterioration in credit quality.

Household debt[1/]



Note: [1/] Loans to households by financial institutions
[2/] Calculated by averaging the 4 latest quarterly GDP
[3/] Household debt and GDP data are revised. This results in the different debt to GDP ratios compared to the last MPR.
Source: Bank of Thailand

Share of non-performing loans (NPL) in consumer loans, classified by loan type



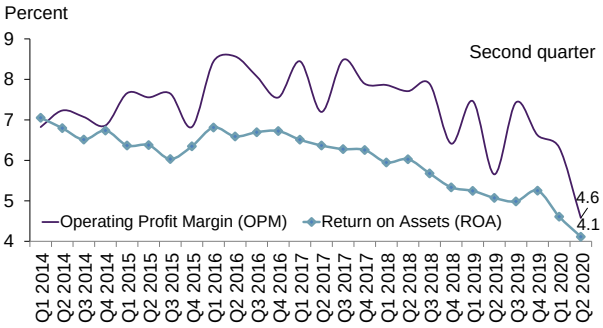
Source: Bank of Thailand

Stability: Corporate Sector

Overall vulnerabilities in the corporate sector increased in the second quarter of 2020, and there were risks of defaults. Corporate earnings declined owing to the COVID-19 outbreak,

resulted in continued deteriorating operating profit margin (OPM) and interest coverage ratio (ICR). Meanwhile, the rising NPL among SMEs, particularly in tourist-related commerce and services sectors, automotive and auto parts, should be closely monitored.

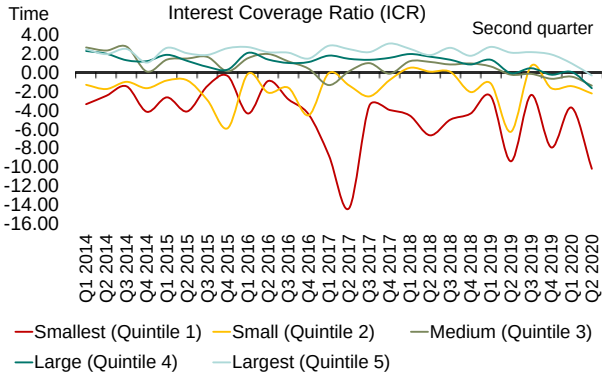
Operating Profit Margin (OPM) and Return on Assets (ROA)*



Note: * Median estimates; ROA is returns to average assets.
OPM is operating profits to total sales.

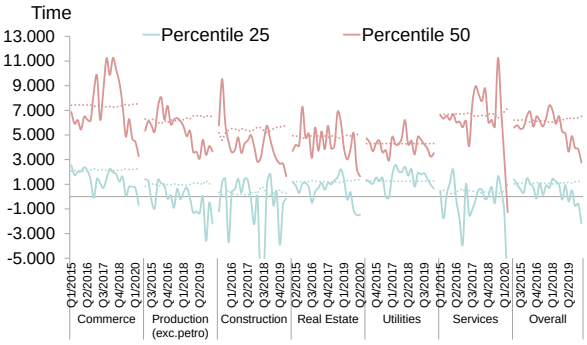
Source: Stock Exchange of Thailand, calculation by Bank of Thailand

Debt serviceability at 25th percentile of each group of firm size



Source: Stock Exchange of Thailand, calculation by Bank of Thailand

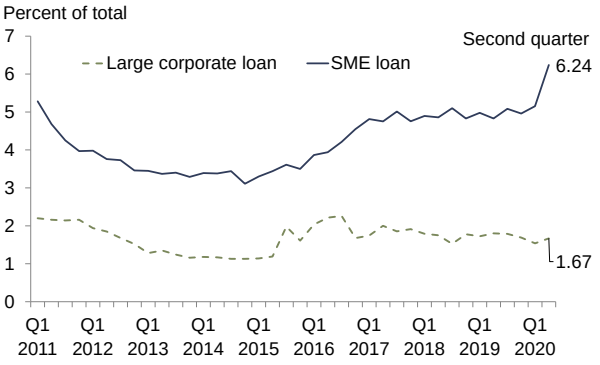
Interest Coverage Ratio, classified by sectors



Note: * production exclude Petroleum and chemicals

Source: Stock Exchange of Thailand, calculation by Bank of Thailand

Share of non-performing loans (NPL) in corporate loans, classified by size

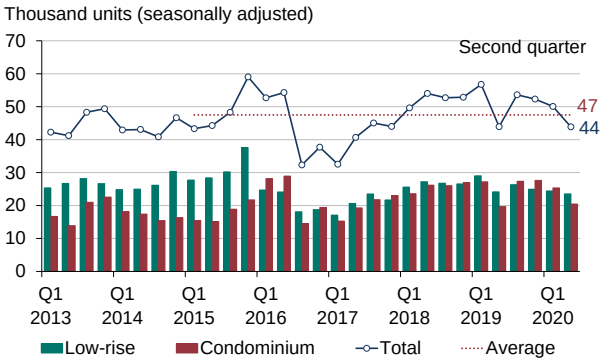


Source: Bank of Thailand

Stability: Real estate sector

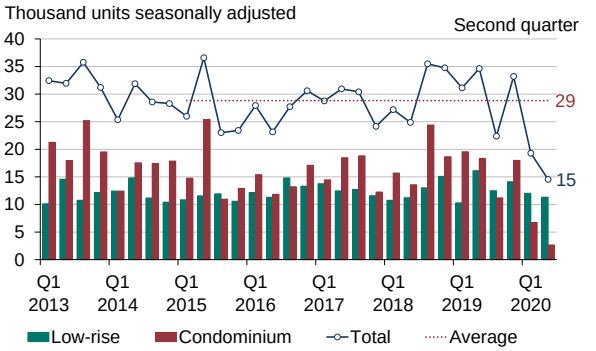
The supply of real estate declined both low-rise residences and condominiums, in line with a decline in property demand. However, the real estate market faced the risk of high excess supply of condominiums and a longer time-to-go period, especially for condominium with prices below five million baht.

Residential Transfer units in Bangkok and its vicinity



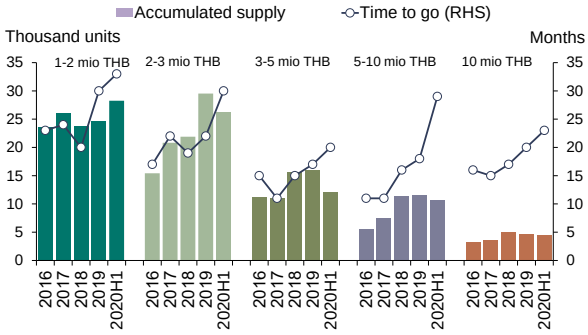
Source: Real Estate Information Center
Note: *Average during 2015-2019

New residential projects launched in Bangkok and its vicinity



Source: Agency for Real Estate Affairs (AREA), calculation by Bank of Thailand
Note: *Average during 2015-2019

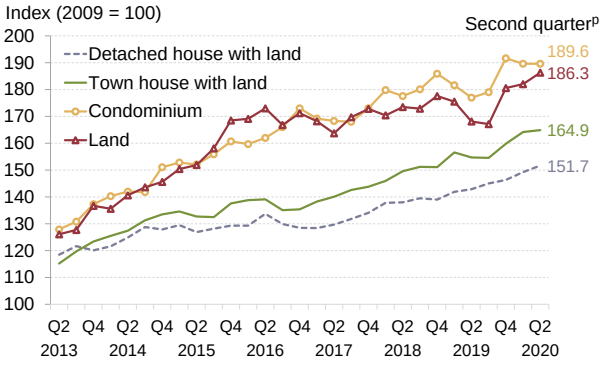
Condominium inventory in Bangkok and vicinity and 'Time to go'



Note: *Time to go' is the time taken for all real estate inventory to be sold out at the average sales rate per month (since projects launched) given no additional supply.

Source: AREA and calculation by the Bank of Thailand

Real estate price indices

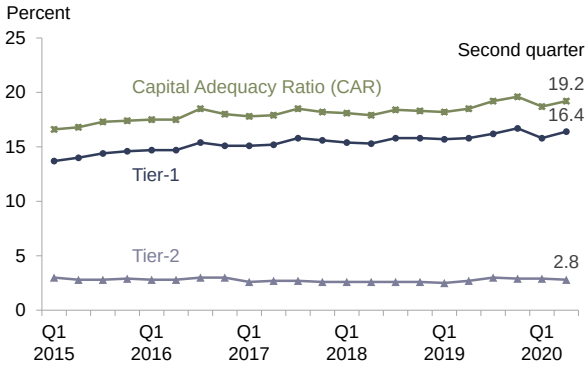


Note: Calculation based on commercial bank loan data
Source: Bank of Thailand

Stability: Financial institutions

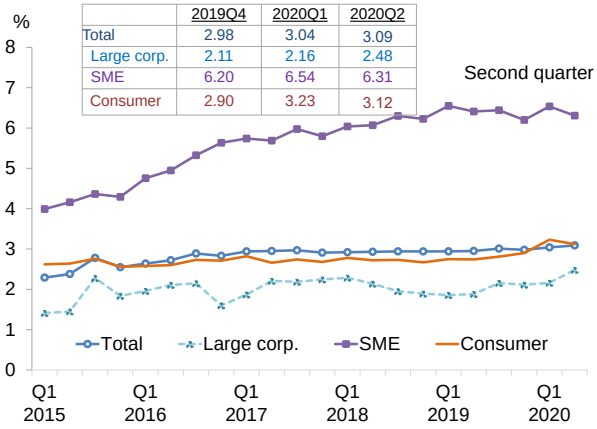
The financial position of financial institutions remained robust, as reflected by adequately high levels of commercial banks' reserves and capital buffers to cushion against risks of credit quality deterioration. Nevertheless, overall NPL ratios in the commercial banking system increased slightly in the second quarter of 2020, in line with economic conditions.

Capital buffers in commercial bank system



Source: Bank of Thailand

Non-performing loan (NPL)



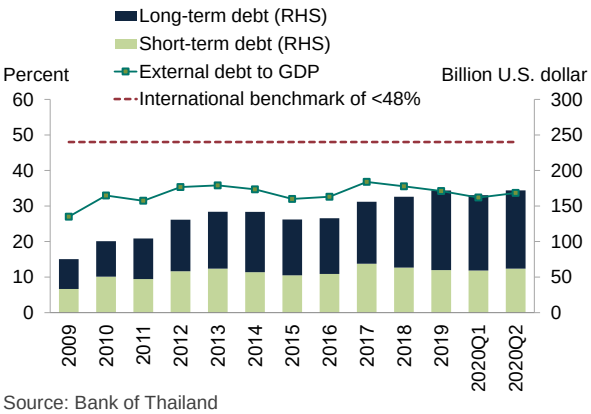
	2019Q4	2020Q1	2020Q2
Total	2.98	3.04	3.09
Large corp.	2.11	2.16	2.48
SME	6.20	6.54	6.31
Consumer	2.90	3.23	3.12

Source: Bank of Thailand

Stability: External positions

Thailand's external stability remained solid, as reflected in the high level of international reserves and the low level of external debt to GDP ratio compared to international benchmark. This would help the Thai economy stay resilient against volatilities in the global financial markets.

Thailand's external debt



Source: Bank of Thailand

Reserve to short-term debt

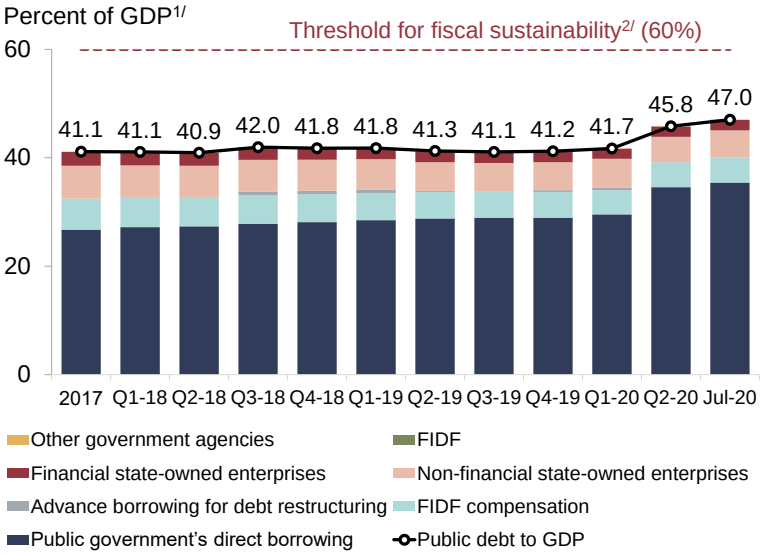


Source: Bank of Thailand

Stability: Fiscal sector

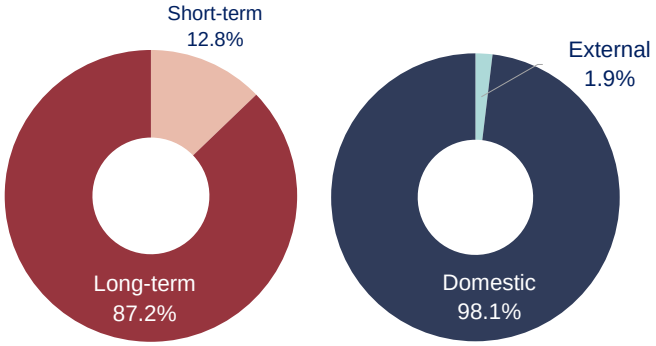
Fiscal stability remained sound, as reflected in the ratio of public debt to GDP that remained below the fiscal sustainability threshold. However, public debt to GDP has been increasing since the second quarter of 2020 due to additional borrowing in order to implement measures to remedy and restore the economy after the COVID-19 pandemic, as well as to reduce fiscal deficit.

Public debt to GDP



Note: 1/ Calculated from GDP by Chain Volume Measure method
2/ Set by Monetary and Fiscal Policy Committee by the authority of State Fiscal and Financial Disciplines Act, B.E. 2561 (2018)
Source: Public Debt Management Office

Outstanding debt as of July 2020



Note: Share of short-term and long-term debt calculated from remaining duration until maturity
Source: Public Debt Management Office



Pursuing Sustainable Economic Well-Being

Bank of Thailand
273 Samsen Road, Watsamphraya,
Phra Nakhon District, Bangkok 10200
Tel. +66 2283-5353

Bank of Thailand Channel
Hotline1213 Channel

www.bot.or.th

@bankofthailand

bankofthailand
Hotline1213